



**ALPINE**  
DUE DILIGENCE INC.

# ODD Report

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## Blackpine Global Credit Plus Fund, L.P.

Global Credit — Open-Ended Multi-Sector | Cayman Islands Exempted Limited Partnership | Full Review

March 2024

Review Type: Full Review

# Table of Contents

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|                                                                       |           |
|-----------------------------------------------------------------------|-----------|
| <b>Overview</b>                                                       | <b>4</b>  |
| <b>Assessment</b>                                                     | <b>5</b>  |
| <b>Scope &amp; Verification</b>                                       | <b>9</b>  |
| Scope of Review                                                       | 9         |
| Independent Verification Performed                                    | 9         |
| <b>Alpine Ratings</b>                                                 | <b>12</b> |
| <b>Alpine Flags</b>                                                   | <b>13</b> |
| <b>Remediation &amp; Monitoring</b>                                   | <b>16</b> |
| Required Before Close                                                 | 16        |
| Post-Close Monitoring                                                 | 16        |
| <b>Chapter 1: Manager, Ownership &amp; Governance</b>                 | <b>19</b> |
| Management Company and Affiliates                                     | 19        |
| Assets under Management                                               | 21        |
| Insider Investment                                                    | 21        |
| Ownership                                                             | 22        |
| Human Resources                                                       | 23        |
| <b>Chapter 2: Legal, Regulatory &amp; Compliance</b>                  | <b>26</b> |
| Regulatory Oversight                                                  | 26        |
| Compliance Infrastructure and Policies                                | 29        |
| Claims, Actions, and Conflicts                                        | 30        |
| <b>Chapter 3: Technology, Cybersecurity &amp; Business Resilience</b> | <b>33</b> |
| IT Overview                                                           | 33        |
| Cybersecurity Controls                                                | 33        |
| Disaster Recovery / Business Interruption                             | 34        |
| <b>Chapter 4: Fund Structure, Terms &amp; Investor Alignment</b>      | <b>36</b> |
| Legal Structure                                                       | 36        |
| Corporate Governance                                                  | 37        |
| Terms                                                                 | 37        |

|                                                                                 |           |
|---------------------------------------------------------------------------------|-----------|
| Fees and Expenses . . . . .                                                     | 38        |
| Investment Strategy . . . . .                                                   | 39        |
| <b>Chapter 5: Service Providers, Delegation &amp; Oversight . . . . .</b>       | <b>41</b> |
| Administrator . . . . .                                                         | 41        |
| Auditor . . . . .                                                               | 41        |
| Custodian, Counterparties & Bankers . . . . .                                   | 41        |
| Other Service Providers . . . . .                                               | 42        |
| <b>Chapter 6: Investment Operations &amp; Portfolio Controls . . . . .</b>      | <b>45</b> |
| Order Management & Trading . . . . .                                            | 45        |
| Reconciliation . . . . .                                                        | 46        |
| Asset Transfers & Treasury Operations . . . . .                                 | 46        |
| <b>Chapter 7: Valuation, Asset Existence &amp; Investor Reporting . . . . .</b> | <b>49</b> |
| Valuation Controls . . . . .                                                    | 49        |
| Net Asset Value Controls . . . . .                                              | 50        |
| Financial Reporting Controls . . . . .                                          | 50        |
| <b>Chapter 8: Manager Transparency &amp; LP Communications . . . . .</b>        | <b>53</b> |
| Transparency Limitations . . . . .                                              | 53        |
| Investor Reporting . . . . .                                                    | 53        |
| <b>Reference Data . . . . .</b>                                                 | <b>54</b> |
| 1. Manager . . . . .                                                            | 54        |
| 2. Legal, Regulatory & Compliance . . . . .                                     | 57        |
| 3. Technology, Cybersecurity & Business Resilience . . . . .                    | 59        |
| 4. Fund . . . . .                                                               | 60        |
| 5. Service Providers, Delegation & Oversight . . . . .                          | 62        |
| 6. Fund Terms . . . . .                                                         | 63        |
| 7. Investment Operations & Portfolio Controls . . . . .                         | 65        |
| 8. Valuation, Asset Existence & Investor Reporting . . . . .                    | 66        |
| 9. Manager Transparency & LP Communications . . . . .                           | 69        |
| <b>Confidentiality . . . . .</b>                                                | <b>70</b> |

# Overview

## Manager Overview

Blackpine Capital Management, L.P. (together with its affiliates, "Blackpine", the "Manager") had AUM of \$183.17 billion as at September 30, 2023. The firm runs a large platform of open-ended, closed-ended, and single-investor vehicles across credit, real assets, private equity, and listed equities. Blackpine has 1,248 employees and is headquartered in Los Angeles (CA), with multiple global offices.

## Fund Overview

Blackpine Global Credit Plus Fund, L.P. (the "Fund") was formed in the Cayman Islands on December 15, 2021, and commenced operations on March 1, 2022. The Fund invests in high yield bonds, senior loans, structured credit, emerging markets debt and convertibles, inclusive of public and private credit sectors under an open-ended structure. The Fund had AUM of \$297 million as at September 30, 2023.

## Controls Overview

The Fund has not appointed a third party administrator. The Fund's auditor is Whitfield Young LLP ("Whitfield Young"). The Fund maintains a custodial and banking relationship with Continental Trust Bank, ISDA agreements with Harbor Commerce Bank, and an FCM relationship with Keystone Securities. Internally, the Manager uses Summit for order management and SS&C Advent's Geneva for portfolio accounting. The Fund's audited financial statements as of December 31, 2022, reported Level 2 and 3 assets of 68.5% and 28.7%, respectively, and Level 2 liabilities of 0.3%.

## Strengths

- Large, globally regulated institutional platform: \$183.17B AUM, 1,248 employees, 294 back-office professionals, and nearly 30-year operating history.
- Meridian Asset Management Ltd. (NYSE/TSX: MAM) took the firm private in 2019 and is expected to own 100% by 2029, providing long-term capital backing.
- Adequate cybersecurity framework aligned to NIST/ISO 27K, annual penetration testing by Phalanx Security, and AWS cloud backups.
- Diversified liquid exposure: 549 issuers, 19 bps average concentration, with 46% of portfolio liquidatable within one week.

## Risks

- No independent administrator — Fund is self-administered; external NAV validation only via annual audit.
- Level 3 concentration (approximately 27% of portfolio) in an open-ended structure creates liquidity mismatch.
- Expense pass-throughs (research, travel, systems, marketing, compliance consulting) charged to Fund.
- CEO transition in Q1 2024; ongoing CSSF inspection; BCP and exit letters withheld from review.

# Assessment

## OVERALL RATING: GREEN

Blackpine Capital Management, L.P. (together with its affiliates, "Blackpine", the "Manager") serves as Manager and is headquartered in Los Angeles (CA) with more than 20 global offices. Formed in 1995, the Manager has grown to become one of the world's largest private capital asset managers. As at September 30, 2023, Blackpine had AUM of \$183.17 billion, up 12.2% from \$163.23 billion a year earlier. The firm runs a large platform of open-ended, closed-ended, and single-investor vehicles across credit (\$120.97 billion), real assets (\$20.55 billion), private equity (\$16.4 billion), listed equities (\$6.73 billion), and BlueLine Asset Management (\$18.53 billion proportionate interest). Blackpine is registered with 12 regulatory bodies across the jurisdictions in which it operates and is authorised as an Alternative Investment Fund Manager under AIFMD.

Blackpine Global Credit Plus Fund, L.P. (the "Fund") was formed in the Cayman Islands on December 15, 2021 and commenced operations on March 1, 2022. The Fund invests globally in bonds, senior loans, structured credit, emerging market debt, and convertibles, inclusive of both public and private credit sectors. Fund AUM was \$297 million as at September 30, 2023 and \$343 million as at December 31, 2023. A parallel vehicle, Blackpine Global Credit Plus Fund (Parallel), L.P. (the "Parallel Fund"), was formed on December 15, 2021 for non-U.S. investors; the Main Fund and Parallel Fund jointly purchase second debt through Blackpine GCP Fund Cayman Holdings, L.P.

As Alpine's primary due diligence finding, Alpine highlights that the Fund has not appointed an independent administrator. All partnership accounting records are maintained in-house by Blackpine's back-office team, which consists of eight full-time fund accounting professionals. Alpine notes that the firm has engaged Lattice Fund Services ("Lattice"), an affiliate of Stellar Corporate Services, to provide day-to-day assistance in back-office functions, including reconciliations and preparing a preliminary package of the month end NAV, which is reviewed by Blackpine's back office. The firm represented that it prefers to self-administer the Fund as it feels that it has more control over the process and that it has sufficient resources internally to manage the process. Conversely, the firm stated that certain of its other open-ended funds, which have a daily NAV, have appointed a third party administrator such as Continental Trust Fund Services or Harbor Commerce. Alpine notes that the failure of a fund to appoint an administrator is now exceptionally unusual post-Madoff, and highlights this material operational deficiency. Alpine would strongly prefer the Fund appoint a third-party administrator under a full-service agreement to provide independent oversight over the activities of the Fund.

In partial mitigation, Alpine notes that with \$183.17 billion in AUM, Blackpine is a large, institutional asset manager with significant resources. As such, the risk of loss to investors should this arrangement present an issue is somewhat mitigated. Nevertheless, Alpine would strongly prefer the Fund appoint a third-party administrator under a full-service agreement to provide independent oversight over the activities of the Fund, in line with standard industry practice. The appointment of a third-party administrator would serve to strengthen support around fund accounting, valuation, and most notably given the liquidity mismatch (discussed below), investor capital accounting and redemption activity. Overall, Alpine highlights the Manager's reluctance to adopt industry trends and best practices. Alpine would strongly prefer to see institutional investment managers leading, rather than lagging, best practice. More generally, as under any self-administration regime, investors are wholly reliant upon the Manager to ensure accurate day-to-day reconciliation, portfolio accounting, and investor records. Investors should not allocate to the Fund unless comfortable with this arrangement.

Alpine highlights that the Fund holds Level 3 assets representing approximately 27% of the portfolio (as at September 30, 2023). It is unusual for an open-ended vehicle to hold illiquid assets. To that point, Alpine notes that the Fund offers quarterly redemptions, subject to a 25% investor-level gate. Alpine notes that with an average 3.14-year holding period for assets (for the 12-month period ending December 31, 2023), it may take a considerable amount of time for investors to redeem from the Fund. Moreover, the Manager may experience liquidity management issues during a period of general market dislocation, should the Fund be required to redeem from its more liquid assets, thereby increasing the proportion of the portfolio allocated to Level 3 assets. The Manager indicated that to date, it has met all redemptions and has sufficient cash on hand to satisfy future redemptions. As at the time of issuance, the Manager had not yet confirmed if it has identified a target proportion of AUM which is held in cash to satisfy redemptions. Furthermore, the Manager had not provided a rationale for opting for an open-ended structure for the Fund.

The portfolio introduces high valuation risk. As at September 30, 2023, Level 1, 2, and 3 assets represented less than 1%, 73%, and 27%, respectively. In practice, all Level 1 positions, the vast majority (98.7%) of Level 2 assets, and a portion (5.55%) of Level 3 positions are priced to recognized pricing feeds / vendors. In terms of the overall portfolio, the Manager indicated that the portion of Level 2 and Level 3 positions priced to pricing vendors represented 72% and 1.5% of the total portfolio, respectively, as at September 30, 2023. Furthermore, Alpine understands that a minimal portion of Level 2 investments (0.73%) and Level 3 assets (0.05%) are priced to broker quotes, which Blackpine's valuation team solicits from brokers via Bloomberg. Blackpine applies a consistent, formulaic pricing mechanism to determine a final price when multiple quotes are obtained and the source of each quote is monitored on a month-over-month basis. The Manager stated that in the case multiple quotes are used, it typically prices to two broker quotes. In terms of the overall portfolio, Alpine notes that the total proportion of assets priced to broker quotes represented less than 1% of the total portfolio as at September 30, 2023. Furthermore, Alpine notes that of this proportion, the majority of cases involved pricing to a single broker quote.

The Manager represented that for the balance of Level 3 assets, representing approximately 25.5% of the overall portfolio as at September 30, 2023, Blackpine's valuation team prices such investments on a monthly basis, subject to the valuation committee's quarterly review. In addition, the back office performs a review of pricing inputs and assumptions. However, Alpine notes that the Fund has not appointed an external valuation agent to provide independent pricing support over these securities. Alpine strongly supports the appointment of an external valuation agent: such an appointment provides for superior segregation of duties in the valuation process, additional independence, and further control confidence over valuation consistency and computational accuracy. In partial mitigation, the Manager represented that Blackpine's other funds which hold the same Level 3 assets have engaged third party valuation agents to provide independent pricing over those funds' assets, with those third party marks compared against the Manager's internal marks for the Fund. The Manager added that all internal marks have fallen within the range provided by the external valuation agents. Overall, Alpine reiterates that the vast majority (94.4%) of the Level 3 assets held in the Fund are effectively priced to third party valuation agent reports, however, such reports are produced on behalf of the firm's other products. While prices are not expected to differ, Alpine would prefer that the firm engage a valuation agent for the Fund directly (rather than using other funds' pricing as a proxy) in order to mitigate any potential issues or conflicts of interest.

Further to the above, Alpine highlights that in the absence of a third party administrator for the Fund, the portfolio valuations are only subject to external verification on an annual basis by the Fund's auditor (and by an external valuation agent when the Fund's holdings are also held by other Blackpine funds which have engaged such an agent).

Blackpine has a valuation committee consisting of Adrian Sheldon (Head of Valuation), Robert Langford (Global Co-PM), and Pablo Uriarte (Global Co-PM), who meet quarterly. Alpine would prefer to see the committee

represented by a majority of non-investment professionals to remove the appearance of conflicts of interest over the involvement of the committee in the pricing process. In mitigation, all valuations must be additionally approved by Adrian, ensuring that the investment team cannot override the valuation group. In addition, Alpine prefers that the valuation committee convene at every NAV calculation date (i.e. monthly) and for meetings to be formally documented in minutes, in line with industry best practices.

Alpine highlights that, given the Fund's lack of an independent administrator, there is no external confirmation of the existence of custodied assets (47% of the portfolio) as at September 30, 2023. Alpine highlights that the Fund's investment strategy creates unavoidable custody and existence risk as 53% of the portfolio is evidenced by private agreements, which are not subject to traditional custody safekeeping and typically consist of closing documentation and legal contracts (e.g. purchase and sale agreements, etc.). From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Blackpine professionals and external parties. Furthermore, Alpine understands that Whitfield Young as auditor tests the entire private portion of the portfolio at year-end for existence.

Alpine highlights the misalignment regarding the frequency of asset existence validation, conducted by the auditor at year end only, which is far below best practices for open-ended structures: procedures supporting asset existence for open-ended structures are expected to be aligned with the reporting and redemption cycle. As such, Alpine would have a strong preference for additional procedures to be added that are aligned with the Fund's monthly reporting cycle.

Separately, Alpine highlights the turnover of Blackpine's Chief Executive Officer ("CEO"). In Q1 2024, Jonathan Weatherly stepped down after serving as CEO for almost a decade. As a result, Robert Langford (Portfolio Manager - Global Opportunities strategy) and Arman Petrossian (Head of Performing Credit) assumed the roles of Co-CEOs in addition to their existing roles. The Manager noted that Robert and Arman will primarily focus on the organization and performance of the investment teams. Robert and Arman joined Blackpine in 2002 and 2007, respectively. Alpine understands that Blackpine made the announcement in June 2023 and clearly structured Robert and Arman's roles to ensure they have the bandwidth to serve as Co-CEOs as well as leaders of major investing groups. As such, both Robert and Arman had sufficient time to transition into their new roles.

In addition, Alpine notes that Blackpine was formerly listed on the New York Stock Exchange (NYSE: BPC) effective April 12, 2012, however, was taken private on September 30, 2019, by Meridian Asset Management Inc. (now Meridian Asset Management Ltd., "Meridian", NYSE: MAM, TSX: MAM, ENX: MAMX). Meridian acquired 61.2% of the interests in Blackpine at the time of the transaction and the firm continues to operate as an independent entity, with Meridian serving as a passive investor and strategic partner. Alpine highlights that additional purchases of equity interests are anticipated to occur annually through at least 2029, with the expectation that Meridian will ultimately own 100% of Blackpine's business.

Furthermore, Alpine highlights that investment research and data expenses, research related travel fees, system expenses, marketing costs, and compliance consulting costs are charged to the Fund. Conceptually, Alpine is opposed to the Manager passing through these expenses, notably compliance consulting and system expenses, which Alpine typically views as the Manager's overhead expenses. From Alpine's side, Alpine would have some preference to see Blackpine pay for such items from the fixed management fee.

Separately, Alpine notes the ongoing inspection of the Commission de Surveillance du Secteur Financier ("CSSF"). Specifically, on September 8, 2022, CSSF began a standard on-site inspection of corporate governance for LFE European Asset Management Sarl (formerly known as "Blackpine Capital Management (Lux.) S.à r.l."), which is now identified for trade purposes as Blackpine Capital Management (Lux.) S.à r.l. and serves as the alternative

investment fund manager of Blackpine. The Manager represented that the inspection is still ongoing as at the time of Alpine's review (March 2024), and it could not confirm the timeline for completion, noting that CSSF reviews typically take a considerable amount of time to finalize. Investors are encouraged to monitor developments in this area and request regulatory correspondence for review once available.

With respect to transparency, Alpine highlights that the Manager declined to provide the business continuity plan ("BCP") and correspondence letters for previous regulatory examinations for review. Furthermore, the Manager had not provided any banking documents evidencing authorized signatories and contractual arrangements over asset transfers. Alpine highlights this limitation in its diligence process.

Due to the lack of an external third party administrator, all asset transfers are controlled by the Manager under a dual signature policy.

Internally, Blackpine uses Summit as its order management system ("OMS") to capture transactions and SS&C Advent's Geneva ("Geneva") for portfolio accounting. Given that the Fund is self-administered, Alpine highlights that the Manager is responsible to maintain the Fund's formal books and records.

As a final comment, the Manager has implemented appropriate information technology infrastructure, compliance, cybersecurity, and business continuity procedures geared to mitigate key risks.

Overall, Blackpine has extensive operational and business management resources, operating within a fully "institutional" organizational structure. This observation forms the basis of Alpine's *Green* assessment. However, Alpine highlights that this rating is based on the Manager's financial and back office resources, and corresponding ability to make an investor whole should issues arise with this arrangement. A similar arrangement could result in a more cautious rating in a firm with fewer resources. To that point, Alpine reiterates that the firm has not appointed a third party administrator. Although the firm's resources mitigate some concerns in this area, the appointment of a third party administrator would serve to strengthen support around fund accounting, valuation, and, most notably given the liquidity mismatch, allocation to Level 3 assets, investor capital accounting and redemption activity. Overall, Alpine highlights the Manager's reluctance to adopt industry trends and best practices. Alpine would strongly prefer to see institutional investment managers leading, rather than lagging, best practice. Investors should be comfortable with the existence and valuation issues associated with this arrangement prior to allocating to the Fund.



# Scope & Verification

## Scope of Review

Alpine's review included conference calls with the Manager's operations, compliance, valuation, and legal teams; review of the Fund's offering memorandum dated February 15, 2022, the Limited Partnership Agreement, the Manager's Form ADV Part 1A dated February 14, 2024, the Manager's compliance manual dated January 2023, the code of ethics dated February 2023, the personal trading policy, the trade error policy, the valuation policy, the computer acceptable use policy dated December 2023, the incident response plan dated December 2023, the Fund's audited financial statements for the period March 1, 2022 through December 31, 2022, and independent checks against public registers and regulatory databases. The Manager declined to provide the business continuity plan and the exit letters for previous regulatory examinations where confidentiality was asserted.

## Independent Verification Performed

| Verification                                                  | Result     | Evidence Basis                                                                                                                |
|---------------------------------------------------------------|------------|-------------------------------------------------------------------------------------------------------------------------------|
| Management Company and Affiliates                             | Confirmed  | Alpine direct check, Delaware Division of Corporations Registry                                                               |
| Management Company Corporate Form                             | Consistent | Form ADV dated February 14, 2024                                                                                              |
| Ownership Structure                                           | Consistent | Form ADV Part 1A discloses current and former Blackpine executives and employees (25%-50%) and Meridian Corporation (50%-75%) |
| SEC Registration                                              | Confirmed  | Alpine direct check, SEC register (RIA since April 7, 1995)                                                                   |
| CFTC / NFA Registration                                       | Confirmed  | Alpine direct check, NFA register (CPO and CTA since January 1, 2013)                                                         |
| FCA Registration (Blackpine Capital Management (UK) LLP)      | Confirmed  | Alpine direct check, FCA Financial Services Register                                                                          |
| FINRA BrokerCheck (BCM Investments, LLC)                      | Confirmed  | Alpine direct check, FINRA BrokerCheck                                                                                        |
| SFC Registration (Blackpine Capital (Hong Kong) Limited)      | Confirmed  | Alpine direct check, SFC register                                                                                             |
| MAS Registration (Blackpine Capital Management Pte. Ltd.)     | Confirmed  | Alpine direct check, MAS register                                                                                             |
| ASIC Registration (Blackpine Capital (Australia) Pty Limited) | Confirmed  | Alpine direct check, ASIC register                                                                                            |

| Verification                                                     | Result            | Evidence Basis                                                                                                                                               |
|------------------------------------------------------------------|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| FSA Registration (Blackpine Japan, Inc.)                         | Confirmed         | Alpine direct check, FSA register                                                                                                                            |
| DFSA Registration (Blackpine Capital Management (Dubai) Limited) | Confirmed         | Alpine direct check, DFSA register                                                                                                                           |
| CSSF Registration (Blackpine Capital Management (Lux.) S.à r.l.) | Confirmed         | Alpine direct check, CSSF register                                                                                                                           |
| SEC Disciplinary History                                         | One closed action | Form ADV Part 1A Section 11 / DRP pages reference closed regulatory action                                                                                   |
| Compliance Consultant (Apex Compliance Partners)                 | Confirmed         | Apex Compliance Partners confirmed via email on March 19, 2024                                                                                               |
| Technology Consultant (Ascent IT Group)                          | Confirmed         | Ascent IT Group confirmed via email on November 3, 2023                                                                                                      |
| Technology Consultant (Vikrant Technologies)                     | Confirmed         | Vikrant Technologies confirmed via email on August 2, 2023                                                                                                   |
| Cybersecurity Consultant                                         | Exception noted   | Manager did not provide contact details for Sentinel CyberShield or Cyberus Defense                                                                          |
| Fund Registration (Cayman)                                       | Confirmed         | Alpine direct check, Cayman Islands General Register and CIMA register of entities                                                                           |
| General Partner Registration                                     | Confirmed         | Alpine direct check, Cayman Islands General Register (Blackpine Global Credit Plus Fund GP, L.P.)                                                            |
| AUM Verification (Year End)                                      | Confirmed         | December 31, 2022 audited financial statements reflect net assets of \$232.5 million                                                                         |
| AUM Verification (Quarter End)                                   | Exception noted   | Fund is self-administered; Alpine unable to independently verify quarter-end AUM                                                                             |
| Administrator Verification                                       | Exception noted   | Fund has not appointed an independent administrator                                                                                                          |
| Auditor Verification (Whitfield Young)                           | Confirmed         | Form ADV dated February 14, 2024 Section 7.B discloses Whitfield Young as auditor of record; unqualified opinion on most recent audited financial statements |
| Custodian (Continental Trust Bank)                               | Confirmed         | Continental Trust confirmed via email on March 20, 2024                                                                                                      |

| Verification                              | Result          | Evidence Basis                                                                                 |
|-------------------------------------------|-----------------|------------------------------------------------------------------------------------------------|
| FCM (Keystone Securities)                 | Exception noted | Keystone Securities had not responded to Alpine's request as of March 22, 2024                 |
| ISDA Counterparty (Harbor Commerce Bank)  | Confirmed       | Harbor Commerce confirmed via email on March 13, 2024                                          |
| Corporate Banker (Continental Trust Bank) | Exception noted | Continental Trust had not responded to the Fund-level banker verification as of March 22, 2024 |
| Asset Verification                        | Exception noted | No third party validates Fund's quarterly NAV; annual audit only                               |

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# Alpine Ratings

| Chapter                                         | Rating |
|-------------------------------------------------|--------|
| Manager, Ownership & Governance                 | GREEN  |
| Legal, Regulatory & Compliance                  | GREEN  |
| Technology, Cybersecurity & Business Resilience | GREEN  |
| Fund Structure, Terms & Investor Alignment      | RED    |
| Service Providers, Delegation & Oversight       | RED    |
| Investment Operations & Portfolio Controls      | YELLOW |
| Valuation, Asset Existence & Investor Reporting | YELLOW |
| Manager Transparency & LP Communications        | YELLOW |

# Alpine Flags

| #  | Flag                                                                                                                                                              | Section                         |
|----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|
| 1  | Manager has a related party broker-dealer (BCM Investments, LLC and Meridian Blackpine Wealth Solutions LLC).                                                     | Manager, Ownership & Governance |
| 2  | Manager offers regulated product structures (1940 Act, UCITS).                                                                                                    | Manager, Ownership & Governance |
| 3  | Manager runs separately managed accounts representing approximately 34% of firm AUM.                                                                              | Manager, Ownership & Governance |
| 4  | Manager is publicly traded (indirectly, through Meridian Asset Management Ltd., NYSE/TSX: MAM).                                                                   | Manager, Ownership & Governance |
| 5  | Manager retains third party consultants across multiple functions.                                                                                                | Manager, Ownership & Governance |
| 6  | Turnover of C-level executive: CEO Jonathan Weatherly departed Q1 2024, replaced by Co-CEO structure.                                                             | Manager, Ownership & Governance |
| 7  | Insider capital does not represent over 50% of the liquid net worth of the Principals.                                                                            | Manager, Ownership & Governance |
| 8  | No formal succession plan and no key person / life insurance.                                                                                                     | Manager, Ownership & Governance |
| 9  | No subsequent background checks on employees once hired.                                                                                                          | Manager, Ownership & Governance |
| 10 | Principals have external business interests, external directorship positions, and private investments in companies related to the asset management industry.      | Legal, Regulatory & Compliance  |
| 11 | Manager, affiliate or employee has been subject to regulatory sanction(s) in the past ten years (2018 SEC fine of \$100,000 relating to political contributions). | Legal, Regulatory & Compliance  |
| 12 | Manager, affiliate or employee has been subject to non-routine correspondence from regulatory agencies (ongoing CSSF inspection commenced September 8, 2022).     | Legal, Regulatory & Compliance  |
| 13 | Manager, affiliate or employee has been subject of civil litigation in the ordinary course of business.                                                           | Legal, Regulatory & Compliance  |
| 14 | Employees can trade in securities held in client accounts, subject to blackout periods.                                                                           | Legal, Regulatory & Compliance  |
| 15 | The firm has had a material trading error in the past year (over \$10,000).                                                                                       | Legal, Regulatory & Compliance  |
| 16 | The firm utilizes expert networks (InsightBridge, ConsultEdge, Cobalt Research Group, Axiom Insights).                                                            | Legal, Regulatory & Compliance  |

| #  | Flag                                                                                                                                                          | Section                                         |
|----|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|
| 17 | No blackout period with respect to consultation with experts previously employed by a public company.                                                         | Legal, Regulatory & Compliance                  |
| 18 | Only approximately 10% of the expert network calls are chaperoned by compliance.                                                                              | Legal, Regulatory & Compliance                  |
| 19 | Fund has a short operating history (commenced March 1, 2022).                                                                                                 | Fund Structure, Terms & Investor Alignment      |
| 20 | Fund AUM has increased by more than 25% over the past twelve months.                                                                                          | Fund Structure, Terms & Investor Alignment      |
| 21 | Fund has subsidiaries and underlying trading affiliates (parallel vehicle and Cayman holdings entity).                                                        | Fund Structure, Terms & Investor Alignment      |
| 22 | No board at the Fund level; no LPAC or Advisory Board.                                                                                                        | Fund Structure, Terms & Investor Alignment      |
| 23 | Fund does not have a key person provision.                                                                                                                    | Fund Structure, Terms & Investor Alignment      |
| 24 | Redemption notice period higher than 60 days (90-day notice).                                                                                                 | Fund Structure, Terms & Investor Alignment      |
| 25 | No sunset provision on redemption gate (redemptions can take more than 12 months).                                                                            | Fund Structure, Terms & Investor Alignment      |
| 26 | Audit holdback greater than 5% (10% holdback).                                                                                                                | Fund Structure, Terms & Investor Alignment      |
| 27 | Investment research and data expenses, research related travel, system expenses, marketing expenses, and compliance consulting costs are charged to the Fund. | Fund Structure, Terms & Investor Alignment      |
| 28 | Fund holds private investments exceeding 5% of NAV that are not side-pocketed (Level 3 assets represent approximately 27% of NAV).                            | Fund Structure, Terms & Investor Alignment      |
| 29 | Fund is self-administered.                                                                                                                                    | Service Providers, Delegation & Oversight       |
| 30 | Fund auditor also provides audit and tax services to the management company.                                                                                  | Service Providers, Delegation & Oversight       |
| 31 | Portfolio positions exceeding 5% of NAV not held in traditional custody (private investments evidenced by contract).                                          | Investment Operations & Portfolio Controls      |
| 32 | The Manager does not have a formal committee overseeing counterparty credit risk.                                                                             | Investment Operations & Portfolio Controls      |
| 33 | The valuation committee is not represented by a majority of non-investment professionals.                                                                     | Valuation, Asset Existence & Investor Reporting |

| #  | Flag                                                                                                                 | Section                                         |
|----|----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|
| 34 | The valuation committee is not convened at each NAV calculation date.                                                | Valuation, Asset Existence & Investor Reporting |
| 35 | Valuation committee meetings are not documented in formal minutes.                                                   | Valuation, Asset Existence & Investor Reporting |
| 36 | No external valuation agent has been appointed directly for the Fund (reliance on affiliate-fund valuation reports). | Valuation, Asset Existence & Investor Reporting |
| 37 | BCP was not made available for review.                                                                               | Manager Transparency & LP Communications        |
| 38 | Regulatory inspection exit letter(s) not made available for review.                                                  | Manager Transparency & LP Communications        |
| 39 | Documentation evidencing contractual arrangements over asset transfers not made available for review.                | Manager Transparency & LP Communications        |

# Remediation & Monitoring

## Required Before Close

| # | Issue                                                                                                                                                      | Priority | Target           | Investor Action                                                                |
|---|------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|------------------|--------------------------------------------------------------------------------|
| 1 | Appoint a third-party fund administrator under a full-service agreement                                                                                    | High     | Pre-subscription | Require written commitment and target date; escalate to Alpine if not resolved |
| 2 | Engage an external valuation agent directly for the Fund to provide independent pricing on Level 3 positions                                               | High     | Pre-subscription | Require written commitment and target date                                     |
| 3 | Reconstitute valuation committee with a majority of non-investment professionals; document minutes at each meeting; convene monthly aligned with NAV cycle | High     | Pre-subscription | Require written commitment                                                     |
| 4 | Produce the business continuity plan and previous regulatory exit letters for investor review under NDA                                                    | Medium   | Pre-subscription | Require written commitment                                                     |
| 5 | Produce banking documentation evidencing authorised signatories and contractual arrangements over asset transfers                                          | Medium   | Pre-subscription | Require written commitment                                                     |
| 6 | Implement external reconciliation and NAV verification aligned with the Fund's monthly reporting cycle                                                     | High     | Pre-subscription | Require written commitment                                                     |
| 7 | Confirm target cash buffer for the Fund to satisfy redemptions given liquidity mismatch                                                                    | Medium   | Pre-subscription | Require documented liquidity management policy                                 |

## Post-Close Monitoring

| #  | Issue                                                                                            | Priority | Target  | Investor Action                                        |
|----|--------------------------------------------------------------------------------------------------|----------|---------|--------------------------------------------------------|
| 8  | Monitor CSSF inspection outcome and request exit letter once available                           | High     | Ongoing | Quarterly review; request correspondence               |
| 9  | Monitor Co-CEO transition (Robert Langford / Arman Petrossian) and firm-wide succession planning | Medium   | Ongoing | Annual review of firm leadership and board composition |
| 10 | Monitor progression of Meridian ownership towards 100% through annual equity purchases           | Medium   | Ongoing | Annual review of ownership and governance structure    |



| #  | Issue                                                                                                                      | Priority | Target  | Investor Action                                           |
|----|----------------------------------------------------------------------------------------------------------------------------|----------|---------|-----------------------------------------------------------|
| 11 | Monitor evolving Level 3 concentration and any use of the redemption gate                                                  | High     | Ongoing | Quarterly review of portfolio liquidity and gate activity |
| 12 | Monitor allocation of expense pass-throughs (research, travel, systems, marketing, compliance consulting)                  | Medium   | Ongoing | Annual review of audited expense disclosures              |
| 13 | Monitor Transportation Infrastructure spin-out (14 investment professionals and 1 administrator) and any ongoing conflicts | Low      | Ongoing | Annual review                                             |
| 14 | Monitor enhancement of expert network controls (blackout period, chaperone rate)                                           | Medium   | Ongoing | Annual review of compliance program                       |
| 15 | Monitor Level 3 valuation alignment when external valuation reports across affiliate funds diverge                         | Medium   | Ongoing | Quarterly review                                          |
| 16 | Update background checks on existing employees on an ongoing, recurring basis                                              | Low      | Ongoing | Annual review                                             |

ALPINE

# Chapter 1

## Manager, Ownership & Governance

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# Chapter 1: Manager, Ownership & Governance

## Management Company and Affiliates

Blackpine Capital Management, L.P. (together with its affiliates, "Blackpine", the "Manager") serves as Manager and is headquartered in Los Angeles (CA) with more than 20 global offices. Formed in 1995, the Manager has grown to become one of the world's largest private capital asset managers. Investors can take comfort in the firm's long operating history.

Blackpine was formerly listed on the New York Stock Exchange (NYSE: BPC) effective April 12, 2012, however, was taken private on September 30, 2019, by Meridian Asset Management Inc. (now Meridian Asset Management Ltd., "Meridian", NYSE: MAM, TSX: MAM, ENX: MAMX), a leading global alternative asset manager with approximately \$900 billion in assets under management and 200,000 employees. Meridian acquired 61.2% of the interests in Blackpine at the time of the transaction and the firm continues to operate as an independent entity, with Meridian serving as a passive investor and strategic partner.

Blackpine also owns interests in a number of external companies:

- Cedar Ridge Asset Management ("Cedar Ridge", formerly known as Stagecoach Finance Europe, LLC ("Stagecoach")), which manages and originates various real estate loans, is a wholly-owned subsidiary of Blackpine. The Manager represented that Cedar Ridge currently provides services exclusively to fund products managed by Blackpine, however, it has the ability to provide services to third parties and may engage in its own real estate investment activities. Blackpine previously represented that "[t]he fees Blackpine pays are benchmarked to other asset servicing businesses in the relevant geographies [...]" and noted that the firm has engaged an undisclosed third party to ensure that the transactions are conducted on an arm's length basis and at market rates.
- Blackpine also holds a minority (20%) interest in BlueLine Asset Management ("BlueLine"), a long-only money manager established by Jonas Goldstone following his departure from TCG. This entity does not, however, overlap with Blackpine's investment activities.
- Silverspire Power Infrastructure, previously a joint venture entity, has been brought in-house and is currently a wholly-owned subsidiary of Blackpine.
- In 2022, Blackpine acquired majority interests in 24Capital, which was founded in 2008 and is headquartered in London (UK). 24Capital provides financing options to private equity firms and institutional investors. This acquisition gives 24Capital access to Blackpine's deep global network and adds to Blackpine's extensive suite of private capital solutions. The firm's Form ADV provides that *"at present Blackpine does not see there being significant overlaps between the investment activities of Blackpine accounts and those of 24Capital."*

The Manager acquired Northstar Infrastructure Capital ("Northstar"), an infrastructure investing team, in August 2014. Alpine understands that the legacy Northstar funds were not re-branded under the Blackpine banner, however, the majority of these legacy funds have since been wound down. The Manager indicated that it is preparing the final liquidating distributions as at the time of Alpine's meeting (March 2024), and it expects the legacy Northstar funds to be dissolved by the end of 2025.

The Manager represented that it expects to spin out its Transportation Infrastructure business, although a specific timeline was not provided. The Manager stated that the transaction is 100% collaborative and it believes the infrastructure business could be more successful if managed and grown independently as Meridian's ultimate ownership of Blackpine (discussed in *Ownership*) would impose some impediments to the growth (e.g., not being

able to invest in U.S. Jones Act businesses). The Manager noted that the entire infrastructure team (14 investment professionals and one administrator) is voluntarily spinning out, and it does not expect any impact on Blackpine's operations. Alpine notes that the spin-out includes the Northstar Capital team. The Manager noted that Neil Quincy (Product Specialist) will cover investor relations and fundraising, and Nadia Lockwood (Fund Accountant) will become Head of Accounting and Chief Compliance Officer of the new entity. Investors are encouraged to monitor developments in this area.

Alpine also highlights that Blackpine utilizes Crestline Asset Services' ("Crestline") data aggregation services for the firm's real estate products, with related expenses borne by corresponding funds. The Manager indicated that a third party has not been engaged to perform a benchmark analysis and noted that *"While such costs, fees and expenses are believed by Blackpine to be reasonable and generally at or below market rates for the relevant third-party services provided, the extensive relationship with Crestline and the specialized nature of its services [...] may result in such costs, fees and expenses not always being comparable to those charged for such services by other third parties. Although Blackpine will generally endeavor to select what Blackpine believes to be the most cost-effective vendor for any third-party services to be provided to the Fund after weighing all factors that Alpine deems relevant [...] Blackpine will be under no obligation to evaluate alternative providers or to compare pricing for Crestline's services."* Alpine notes that Crestline was launched by former members of Stagecoach's surveillance team with support from Blackpine. While the Manager does not maintain an ownership interest in Crestline, Alpine understands that Blackpine absorbed ramp-up costs associated with Crestline's launch in exchange for profit on any third party business generated by the consultant.

In addition to its headquarters in Los Angeles (CA), Blackpine maintains over 20 satellite offices globally. Core investment functions and back office and trading operations are primarily performed out of the Los Angeles office, with investment functions supported by numerous investment professionals spread out globally. Alpine notes that in 2023, Blackpine opened offices in Mumbai (India) and Stockholm (Sweden), and closed its Helsinki (Finland) location. In addition, the Manager represented that it migrated its investment professionals from Paris (France) to London (UK), with the Paris office now serving for marketing purposes. Looking forward, Blackpine plans to open an additional office in Switzerland by the end of 2024.

The Manager indicated that some offices retain Meridian employees, however, appropriate physical and information barriers are in place to mitigate the potential transmission of material non public information ("MNPI") between both entities as well as between the public and private sides of the business.

Blackpine maintains affiliated broker-dealers operating within its structure, including BCM Investments, LLC ("BCM Investments") and Meridian Blackpine Wealth Solutions LLC ("MBWS"), which both operate as securities broker-dealers in connection with the private placement of interests in investment funds managed by Blackpine and its affiliates. The Manager previously represented that BCM Investments and MBWS do not execute transactions on behalf of its products and are not compensated by any Blackpine products for acting as a placement agent.

Given the Manager's global operations, Blackpine maintains numerous affiliates to support the firm's investment advising and marketing efforts. Overall, the firm has a highly complex corporate, advisory, and ownership structure, incorporating an extensive number of business units and corporate entities. Please consult the firm's Form ADV, Schedule D, Section 7. A. Financial Industry Affiliations for a complete list of affiliated entities under the Blackpine umbrella.

## Assets under Management

Blackpine had AUM of \$183.17 billion as at September 30, 2023, up 12.2% on a year-over-year basis from \$163.23 billion as at September 30, 2022. The Manager indicated that the increase in AUM was due to a combination of performance and net capital inflows.

Per Alpine's regulatory AUM analysis, regulatory AUM ("RAUM") reported to the United States Securities and Exchange Commission ("SEC") was approximately \$150.99 billion as at December 31, 2022. Alpine notes that RAUM reported to the SEC must follow certain calculation methodologies (e.g. using gross assets). As such, RAUM will generally differ from industry standard AUM reporting due to these reporting variations and timing.

Blackpine offers a variety of strategies across the following business lines, with products offered under both open-ended and closed-ended structures:

- Credit (\$120.97 billion): includes strategies investing in both liquid and illiquid instruments, including high yield bonds, convertible securities, leveraged loans, structured credit instruments, distressed debt, and private debt.
- Real Assets (\$20.55 billion): targets a diverse range of opportunities across all areas of real estate, with an emphasis on debt and / or equity investments in commercial real estate, corporate real estate investments, structured finance, bank portfolios, residential real estate, and infrastructure.
- Private Equity (\$16.4 billion): focuses on a broad range of regions and market sectors and combines traditional private equity and distress-for-control activities. The division is comprised of corporate private equity and special situations strategies.
- Listed Equities (\$6.73 billion): pursues investments in emerging market equities and value equities strategies.
- BlueLine (\$18.53 billion): represents Blackpine's proportionate interests in BlueLine's AUM.

In addition to its commingled products, Blackpine manages separately managed accounts ("SMA") / single investor vehicles, with a combined AUM of \$62.27 billion representing approximately 34% of the firm's AUM as at September 30, 2023. The Manager noted that the SMAs may be run *pari passu* to commingled products, managed using a variant of the referenced strategies, or follow customized mandates. Blackpine indicated that the minimum account size for an SMA is \$100 million and that SMAs generally utilize different service providers than their referenced commingled vehicles, creating additional operational complexity for the firm's back office.

Furthermore, Blackpine has sub-advisory arrangements with certain mutual funds. As at the time of issuance, the AUM of sub-advisory arrangements had not been disclosed.

## Insider Investment

The Manager represented that insider investment as at September 30, 2023, was approximately 7.4% of the firm's total AUM, equivalent to \$13.5 billion. This level of insider investment represents a significant amount in absolute dollar terms and creates a proper alignment of interests between Blackpine and external investors. However, the Manager noted that insider capital does not represent a significant portion of the liquid net worth of senior employees.

The Manager confirmed that insider capital invests *pari passu* to external investors, with the absence of fees.

## Ownership

As of September 30, 2023, Meridian owns approximately 68% of Blackpine's business interests with the remaining (32%) held by current and former Blackpine executives and employees.

Alpine understands that Meridian's ownership interest is held through Blackpine Capital Group, LLC ("BCG"), Atlas BCM Holdings, and related entities. The current and former Blackpine executives and employees hold their interests through Blackpine Capital Group Holdings, L.P. ("BCGH") and Blackpine Equity Plan, L.P. ("BEP").

As discussed in *Management Company and Affiliates*, on September 30, 2019, Meridian acquired all vested Class A units in Blackpine Capital Group, LLC ("BCG") in a take private transaction. The transaction resulted in the delisting of Class A units and Meridian's 61.2% ownership interests in Blackpine.

The unvested Class A units, representing 38.8% interests in the management company, were held by Blackpine principals, Bradley Kessler (Chief Investment Officer ("CIO")) and Harold Merritt (Co-Chairman), as well as other Blackpine employee unitholders. On this note, Alpine understands that certain professionals were awarded equity-based compensation under the 2011 Blackpine Capital Group, LLC Equity Incentive Plan (the "2011 Plan"), subject to various vesting periods.

Pursuant to the acquisition agreement, all unitholders had their remaining units locked up until 2022, at which point they received the option to gradually sell their units to Meridian according to a planned liquidation schedule. Bradley and Harold will be able to fully liquidate by 2026, with other employees by 2029. Additional purchases are anticipated to occur annually through at least 2029, with the expectation that Meridian will ultimately own 100% of Blackpine's business. Alpine reiterates that as at the time of Alpine's meeting (March 2024), Meridian owned approximately 68% of Blackpine's shares. The Manager represented that both Meridian and Blackpine continue to operate their respective businesses independently, partnering to leverage their strengths, with each remaining under its prior brand and led by its prior management and investment teams.

On December 9, 2022, Meridian separated into two distinct publicly-traded companies, known as Meridian Corporation and Meridian Asset Management Ltd (collectively, "Meridian"), both listed on the NYSE and TSX. Meridian Corporation continues to focus on deploying capital across its operating business, while Meridian Asset Management Ltd., through Meridian Asset Management ULC, becomes a pure-play global asset manager.

Separately, Alpine notes that BCG's Series A and Series B preferred units are listed on the New York Stock Exchange under the tickers "BPC-A" and "BPC-B", respectively.

Alpine notes that the Manager has not established a formal succession plan and does not carry key person / life insurance. In practice, the Manager represented that the remaining senior portfolio managers would continue to manage the firm's portfolios (or dispose of assets in an orderly manner, as required). Moreover, Blackpine stated that principals, portfolio managers, and group heads have seasoned bench strength within their functional areas and could assume additional responsibility if needed. In addition, the firm maintains a board of directors comprised of five Blackpine senior employees, four external directors, and two representatives from Meridian, tasked with managing the firm's investment and operating activities. In light of Blackpine's depth at the senior management level and the financial resources available to the firm, Alpine does not consider this to be a significant issue.

## Human Resources

As at September 30, 2023, Blackpine had a total headcount of 1,248, including 392 investment professionals, 294 back office professionals, and 562 other employees.

The Manager engages twelve members of the valuation team on a consultancy basis. In general, the Manager represented that consultants may be paid for by the firm or the funds, depending on the services rendered, and that consultants who have access to confidential information are subject to the same compliance policies and procedures as full-time employees. The firm engages some part-time staff (roles undisclosed as at the time of issuance) in addition to permanent staff, and they are subject to the same compliance policies and procedures as full-time employees.

With respect to turnover, Alpine highlights the following significant changes over the past 12 months:

- In Q1 2024, Jonathan Weatherly stepped down after serving as Blackpine's Chief Executive Officer ("CEO") for almost a decade. As a result, Robert Langford (Portfolio Manager - Global Opportunities strategy) and Arman Petrossian (Head of Performing Credit) assumed the roles of Co-CEOs in addition to their existing roles. The Manager noted that Robert and Arman will primarily focus on the organization and performance of the investment teams. Robert and Arman joined Blackpine in 2002 and 2007, respectively.
- In Q1 2024, Thomas Merrick, who previously held the titles of General Counsel and Chief Administrative Officer, became the Chief Operating Officer ("COO") and is responsible for the day to day management of Blackpine. Subsequently, Alpine notes that Harold Merritt, Robert Langford, and Thomas Merrick join Bradley Kessler (Chief Investment Officer ("CIO") / Co-Chairman), and James Fremont (Vice Chairman) on Blackpine's executive committee.
- On April 27, 2023, Devika Kapoor (former Managing Director - Information Technology) departed the firm for other opportunities. Eric Tomaszewski was hired on July 1, 2023, to take Devika's role.
- On June 1, 2023, Lawrence Rowland (former Managing Director / Head of Operations Data) left Blackpine for other opportunities with his responsibilities split between Natalie Jensen (Senior Vice President) and Chitra Hegde (Managing Director / Chief Technology Officer ("CTO") / Head of Data and Architecture).
- On June 11, 2023, Tadashi Tsukamoto (Managing Director - Marketing) left the firm to pursue other job opportunities and was replaced by Mark Chamberlain.
- On May 15, 2023, Blackpine hired Gregory Harrington (Managing Director / Head of Insurance Solutions).

The Manager indicated that all transitions have been smooth, and all departures were amicable with no ensuing legal actions.

Additionally, the Manager noted that 15 people in the Global Credit team were promoted to senior roles in the past two years. Alpine highlights that David Reynolds is now Head of Liquid Performing Credit and Co-Portfolio Manager of the Global Credit strategy, in addition to his pre-existing role of Co-Portfolio Manager of the U.S. High Yield Bond, Global High Yield Bond, and Investment Grade Solutions strategies. Additionally, Warren Dashiell, who previously held the role of Investment Risk Officer, was promoted to the Co-Portfolio Manager within the Global Credit and Investment Grade Solutions strategies.

Looking forward, the Manager represented that it expects to hire opportunistically across its business.

The Manager employs the firm's staff directly and indicated that it conducts background checks on all new hires, including references, education, credit, and criminal records, with assistance from external background check providers ScreenCorp and Verity Verification Systems. However, Alpine understands that there are no subsequent

checks on employees once hired. Alpine would prefer to see background checks updated on an ongoing, recurring basis.

Staff are compensated with base salaries and discretionary bonuses, contingent on individual and firm performance. In addition, Alpine notes that certain senior investment professionals participate in the incentive fees or carried interest generated by the firm. Alpine understands that the Manager has implemented a Long Term Incentive program ("LTI") in which 37% of the global employee population and 70% of investment professionals participate. The Manager provided that the LTI program vests 25% per year over four years. Blackpine added that deferred bonuses are reinvested into the fund products.

Daniel Latham and Thomas Merrick serve as the Manager's Chief Financial Officer ("CFO") and COO, respectively, and are together supported by approximately 294 back-office professionals.

Blackpine has also engaged Lattice Fund Services LLC ("Lattice"), which was acquired by Stellar Corporate Services ("Stellar") in June 2019, to provide accounting services for self-administered products. Currently, the firm has access to over 100 Stellar professionals dedicated to Blackpine.

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## Chapter Summary

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While Blackpine is a complex organization with a number of affiliates and office locations, overall, no material observations were identified with respect to the management company, which supports Alpine's Green rating for *Manager, Ownership & Governance*. Nevertheless, Alpine reiterates that Meridian continues to purchase ownership interests from senior executives as well as current and former Blackpine employees and recommends investors monitor developments in this area. Alpine additionally highlights the departure of Jonathan Weatherly (former CEO) in 2024.

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ALPINE

## Chapter 2

Legal, Regulatory & Compliance

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## Chapter 2: Legal, Regulatory & Compliance

### Regulatory Oversight

Blackpine has been a registered investment adviser with the SEC since April 7, 1995. Blackpine has also been registered as a Commodity Pool Operator ("CPO") and Commodity Trading Advisor ("CTA") with the Commodity Futures Trading Commission ("CFTC") since January 1, 2013, and is a member of the National Futures Association ("NFA") in such capacity.

The broader Blackpine organization is regulated by a wide range of local regulatory bodies across the jurisdictions in which the group operates, including Financial Industry Regulatory Authority ("FINRA"), the Monetary Authority of Singapore ("MAS"), the Australian Securities and Investments Commission ("ASIC"), the Hong Kong Securities and Futures Commission ("SFC"), the Commission de Surveillance du Secteur Financier ("CSSF"), the Dubai Financial Services Authority ("DFSA"), and applicable Canadian securities regulators. The firm is further authorized as an Alternative Investment Fund Manager under the Alternative Investment Fund Managers Directive ("AIFMD") regime.

The Manager has been subject to multiple regulatory inspections by the SEC, DFSA, SFC, NFA, MAS, and FINRA over the past ten years. Blackpine represented that there are no instances (current or in the past) that would have a material impact on its advisory business.

Alpine notes the following examinations over the past five years:

- On September 8, 2022, CSSF began a standard on-site inspection of corporate governance for LFE European Asset Management Sarl (formerly known as "Blackpine Capital Management (Lux.) S.à r.l."), which is now identified for trade purposes as Blackpine Capital Management (Lux.) S.à r.l. and serves as the alternative investment fund manager of Blackpine. The Manager represented that the inspection is still ongoing as at the time of Alpine's review (March 2024), and it could not confirm the timeline for completion, noting that CSSF reviews typically take a considerable amount of time to finalize. Investors are encouraged to monitor developments in this area and request regulatory correspondence for review once available.
- On April 6, 2023, FINRA commenced a routine examination of BCM Investments, a wholly-owned subsidiary of Blackpine and a SEC-registered broker-dealer and member of FINRA. The Manager noted that the examination concluded on August 25, 2023, with no findings. The exit letter, dated August 25, 2023, was made available for Alpine to review via screen share, which corroborated the Manager's assertions.
- The most recent SEC routine examination began on November 11, 2021, and resulted in one deficiency related to the firm's disclosures of potential conflicts in relation to the calculation of management fees. Specifically, the regulator highlighted two situations where additional disclosure may have been warranted: (i) the restructuring of a portfolio company, and (ii) continuing to hold an investment that has been written down to zero (but not written off). Alpine understands that Blackpine responded to the SEC stating that it believed the disclosures to be adequate, however, the SEC responded that, although they disagree with the response, they are closing the exam. The SEC's deficiency letter (May 2, 2022), the Manager's response letter (July 1, 2022), and the SEC's exit letter (August 10, 2022) were previously made available to Alpine for review during a screen sharing session and corroborated Blackpine's assertions on the matter.
- SFC and DFSA conducted routine inspections in 2020 and 2021, respectively, which generated no material findings. Alpine highlights that the Manager declined to provide the DFSA and SFC exit letters for review due to confidentiality reasons. As such, Alpine could not corroborate the Manager's representations. Alpine highlights this

limitation in its diligence process.

- In 2017 and 2019, FINRA conducted routine examinations of BCM Investments. Alpine reviewed the exit letters for both inspections, dated October 25, 2017, and July 15, 2019, respectively, during a previous onsite visit. Alpine notes that neither set of correspondence indicated any findings.

- In September 2017, the MAS conducted a routine examination of Blackpine Singapore which the Manager represented was primarily focused on valuation and expenses. The Manager stated that it received a report from the MAS in May 2018 and indicated that there were no material findings resulting from this audit. Alpine notes that the MAS restricts asset managers from sharing correspondence, specifying that it is confidential. As such, Alpine could not corroborate the Manager's representations. Alpine highlights this limitation in its diligence process.

- In October 2016, the NFA conducted a routine exam with respect to the Manager's CPO and CTA registration. The NFA's exit letter, dated January 18, 2017, noted one technical deficiency, which was self-disclosed by the Manager: Blackpine Opportunities Fund IX, LP had previously presented its quarterly account statements on a consolidated basis, however, each separate pool within the structure (i.e. parallel entities) must report its own statement. Blackpine responded on March 14, 2017, and noted that it had amended its quarterly reporting framework.

Previously, the SEC conducted a routine examination on the Manager in April 2015, which concluded in June 2016 following multiple onsite visits and resulted in numerous deficiencies related to the disclosure and allocation of expenses surrounding Blackpine affiliates. Alpine understands that Blackpine enhanced its disclosures and policies in response. The SEC's exit letter, dated June 28, 2016, and the Manager's response letters, dated July 14, 2016, and September 15, 2016, were previously made available to Alpine for review during Alpine's onsite visit and corroborated Blackpine's assertions on the matter. The SEC identified a number of deficiencies:

- The SEC's primary finding was related to Blackpine's shift in expense allocation concerning functions which were initially performed internally (covered by the management fee) and subsequently transitioned away from Blackpine to an alleged third party affiliate, Crestline (with costs absorbed by the investors). The SEC further noted that Blackpine did not request advisory board (or LPAC) approval prior to engaging Crestline to perform these external services, nor did it review other unaffiliated parties to identify whether an alternative option would benefit investors. Alpine highlights that Crestline was launched by Stagecoach's former surveillance team with assistance from Blackpine in an effort to mitigate potential conflicts of interest: the surveillance team's fees were borne by Blackpine funds rather than by the Manager, who maintained a 50% ownership interest in Stagecoach. In its response letter, the Manager noted that Crestline's services fell under consulting expenses permitted in its vehicles' offering documents, and approval from the respective advisory boards was therefore not necessary. Blackpine further noted that it did not maintain an ownership interest in Crestline and that this firm provides information analysis and reporting that are qualitatively different from the investment advisory services provided internally by Blackpine. The consulting agreement is represented to have been negotiated at arm's length with independent legal counsel. To that point, Alpine notes that the Manager absorbed ramp-up costs in exchange for profit on any third party business generated by the consultant but in no way shared in revenue earned for services provided to its funds. The Manager disputed the SEC's observation, with the matter escalated to the SEC's Division of Enforcement for further review. On December 11, 2019, the SEC's Division of Enforcement provided notice that the investigation has been conducted and that it does not intend to recommend an enforcement action against Blackpine.

- The SEC also noted that Blackpine's Expense Allocation Working Group ("EAWG") was not involved in reviewing the changes (or shift as determined by the SEC) BCM Opportunities Fund VII (Cayman) Ltd. in the allocation basis concerning Crestline expenses. The Manager responded that the EAWG did not review this particular change in allocation basis given that Crestline expenses were and continue to be considered as permissible fund expenses per the funds' offering documents. The Manager, nonetheless, retained the services of Harbor Valuation Advisors

following the SEC's exam to assist in reviewing the firm's expense allocation policy and governance oversight.

- Separately, the EAWG had previously identified misallocated expenses associated with a Luxembourg affiliate causing harm to clients of approximately \$3.8 million, however, this amount was deemed to fall below the firm's materiality threshold of 0.5% of NAV. The Manager represented that such allocations were the result of changes in accounting methodologies concerning this particular expense between older vintages and more recent vehicles. The SEC feels that a materiality threshold that can permit millions in damages is too high. In response, Blackpine noted that a 0.5% materiality threshold is consistent with SOX controls and is much lower than audit thresholds (which per the Manager are typically 2% to 2.5%). While the firm's risk incident log was enhanced to grant real-time viewing access, and compliance maintains that its threshold is adequate and does not intend to change its policies.
- The SEC also identified that overhead expenses related to the Manager's Luxembourg, Amsterdam, and Dublin affiliates are charged to Blackpine funds. Furthermore, the regulator noted that additional disclosures surrounding the affiliates and the allocation of expenses were added to the funds' offering documents post-2015. The Manager's response letter notes that the above affiliates are owned by its funds to access significant foreign treaty and tax benefits and the firm does not conduct business from these offices. The Manager added that the costs in question have always been charged to its funds and additional disclosures in post-2015 offering documents simply reflect ongoing efforts to improve disclosures to investors and are not contrary to the terms of pre-2015 offering documentation. Given Blackpine's internal view of this issue raised by the SEC, the July 14, 2016 letter explicitly requested that the SEC reissue the deficiency letter with Section I B that referenced the shift in expense allocation of its foreign affiliates.
- More generally, the SEC noted the lack of oversight with regard to the allocation of business process outsourcing expenses (i.e. CRM platform, conferences, etc.) which were shifted to investors and it is expected that this will continue going forward.
- The regulator highlighted that Blackpine's trade error and cross trade reports were not consistently reviewed per its internal policies (i.e. on a daily basis). Alpine notes that the Manager represented that this deficiency was communicated to the regulator at the onset of its examination and enhancements were subsequently made to the review process to ensure tighter controls in these areas.
- SEC staff noted that the firm lacked procedures to handle non-cash compensation (i.e. equity) to Blackpine employees serving as directors to underlying portfolio companies. While the Manager does not allow affiliated directors to be compensated, certain directors are remunerated in the form of equity ownership in the respective underlying portfolio company. Blackpine noted that it had advised the SEC that it was in the process of creating a dedicated entity to hold such interests, which would be disposed of at a later date with proceeds of the sale allocated to the relevant fund. The Manager represented that the entity in question, BCM FIE, LLC, has since been created.
- With respect to proxy voting, the SEC noted that the Manager's voting was not always in investors' best interest. Alpine understands that Blackpine has since taken remedial action to enhance controls and governance over proxy voting procedures.
- The SEC noted deficiencies related to pre-approval of chartered flights: in one instance in 2013, approval was granted two months after the fact. Blackpine represented that its pre-approval policy for chartered flights was amended.

Overall, Alpine highlights that the SEC correspondence contains a material number of deficiencies, although Alpine does agree that the issues have since been resolved / addressed.

Alpine highlights that Blackpine was sanctioned by the SEC in July 2018 for violating rules barring asset managers and their employees from making political contributions to officials who have influence over which hedge funds and

private equity asset managers may obtain investments from state pension funds. Blackpine agreed to pay a fine of \$100,000 when violations by three Blackpine employees involving political contributions totaling \$2,050 over Blackpine's limits were discovered during an internal review. The review took place against the backdrop of a non-routine request by the SEC for information about Blackpine employees' political contributions in 2016 as part of an industry-wide sweep. To mitigate recurrence, Blackpine enhanced its compliance procedures by imposing a new policy of a blanket prohibition of all employee contributions to candidates for or current holders of state and local office, implementing new tools from ComplySci, the third party software used for other employee compliance tracking, to specifically run surveillance for such activities on publicly available databases in the U.S., and retraining staff.

### **Compliance Infrastructure and Policies**

Ronan Villiers serves as the Manager's Chief Compliance Officer ("CCO") and is supported by 62 legal and compliance professionals.

The firm also has access to external compliance consultant, Apex Compliance Partners, which is used to perform mock audits of the firm's compliance environment. Blackpine indicated that the most recent mock audit took place in August 2022 and generated no material findings. Additionally, the firm has engaged Ironbridge Advisors for ad hoc compliance testing and advice. The Manager noted that the most recent test was in 2023 regarding the co-investment process and there were no material findings.

The firm has a written compliance manual, dated January 2023, which was previously made available to Alpine for review during a screenshare session. The Manager indicated that the manual is reviewed every two years and the most recent update was in 2023 with no material changes. The manual was prepared with assistance from external counsel and covers key compliance policies and procedures. The Manager confirmed that all staff are required to read the compliance manual and sign a declaration to confirm their agreement to comply with the policies and procedures upon joining the firm and annually thereafter.

Blackpine has implemented an ongoing compliance training program, with training sessions conducted through online modules within Workday. The latest training session was held in December 2023 and covered key compliance related topics and best practices, including the code of ethics and insider trading.

### **Personal Trading**

Blackpine maintains a personal trading policy within the code of ethics, dated February 2023, which was made available for Alpine to review in soft copy. Employee personal trading is allowed, subject to pre-clearance from compliance with a 60-day minimum holding period. Employees and their related persons are prohibited from participating in initial public offerings or public offerings of a new issue, taking short positions on any security that is held long in a Blackpine client account, or trading securities offered in a private placement. However, long positions in securities held by clients are permitted, subject to pre-approval from both compliance as well as the concerned employee's department head. Blackpine additionally imposes a blackout period on such personal trading activities: investment professionals may not trade within 15 days of the security being traded by their team. In general, Alpine would prefer for such transactions to be prohibited, in line with industry best practices.

Employee brokerage statements are collected automatically via ComplySci. Where automatic forwarding is not available, the statements are collected directly by the compliance team and reviewed on a quarterly basis. Overall, Blackpine stated that employee personal trading activity varies across the firm.

## Trade Errors

The firm maintains a trade error policy within its compliance manual. In keeping with industry best practice, the net losses attributable to trade errors would be absorbed by the Manager rather than be charged to client accounts. The compliance function maintains a formal trade error log. The Manager noted that since 2022, Blackpine experienced one Global Credit trade error (over \$10,000) related to an allocation error. The Manager stated that the error was appropriately handled to ensure that the clients had no financial impact. As at the time of issuance, the Manager had not yet provided whether it had implemented additional controls to prevent a recurrence.

## Soft Dollars

The Manager confirmed that it does not engage in soft dollars or commission sharing.

## Expert Networks

Blackpine has contracted InsightBridge, ConsultEdge, Cobalt Research Group, and Axiom Insights to obtain access to third party research consultants. All third party consulting firms are engaged on a formal, contractual basis. Alpine notes that the firm has adopted a formal policy within the code of ethics covering the use of expert networks and other independent research data vendors in order to mitigate the risk associated with the circulation of MNPI.

The firm has implemented adequate policies and procedures surrounding the use of expert networks. All expert network consultations are subject to pre-approval from the compliance team through an expert network "mart", which is an internal tool that consolidates experts and allows tracking of all calls. Employees are also restricted from consulting with experts who are currently employed or have been employed within six months of the meeting, by a company in which an Blackpine fund holds (or is targeting) a position. Alpine would prefer to see a formal blackout period implemented with respect to consultations with former employees of all public companies, not only those held in the firm's portfolios. In addition, a script must be read out at the onset of each consultation to state that the individual does not wish to receive any MNPI, and details of consultations are maintained in call notes. However, Alpine highlights that only 10% of the expert networks are chaperoned by compliance. Alpine would prefer the compliance team chaperone a larger portion of the expert network calls anonymously. The Manager noted that Blackpine had over 1,000 expert network calls each year in the past two years.

## Anti-Money Laundering / Know Your Customer

The Manager represented that anti-money laundering ("AML") and know your customer ("KYC") verification procedures are conducted both internally and by third party administrators where applicable. Alpine understands that verifications include a review of negative media and the Office of Foreign Assets Control ("OFAC") list.

## Claims, Actions, and Conflicts

Blackpine indicated that the firm and its staff are routinely involved in litigation arising in the ordinary course of business and investing activities, especially with regard to its real estate funds where portfolio companies and staff are simply additional named defendants. Some claims, such as bankruptcy restructuring disputes arising from investment activities in distressed debt and principal funds, may involve Blackpine professionals directly. Given Blackpine's resources, it appears unlikely that ongoing legal claims could be materially harmful to the broader organization's financial position. Nonetheless, developments (legal and reputational) arising from such claims should be monitored, regardless of the passage of time.

Overall, Alpine's review suggested that Blackpine has adopted a prudent approach to managing conflicts of interest. The Manager emphasized that the firm is highly conscious of conflicts of interest and does not generate ancillary revenues in relation to its investee companies. Blackpine discloses in its Form ADV Part 2A that its fund products

may make investments in companies in which one or more Blackpine accounts hold an investment in a different class of that portfolio company's debt or equity. The Manager has sought to address these issues with the involvement of the fund specific limited partner advisory committee ("LPAC") to approve (or disapprove) such conflicts. Moreover, the Manager represented that compliance monitors perceived and actual conflicts of interest, which are additionally subject to periodic internal audit testing.

The Manager noted that some employees hold external business interests, however, none of them take a material portion of time and all of the external activities are subject to approval by compliance. The Manager confirmed that in the case staff serve as directors on the boards of underlying portfolio companies, any compensation would be offset against the management fee of the applicable fund vehicle.

Alpine highlights a conflict of interest impacting Blackpine's infrastructure group, pertaining to the external business interests of Adam Carver (Co-PM) in the Transportation Infrastructure Fund ("TIF"). Blackpine represented that six months prior to entering discussions with Adam about joining Blackpine in 2017, Adam's new firm, Carver Capital SB, LLC ("Carver Capital"), had closed on its first fund complex, Carver Capital Transportation Opportunities I, LP ("Carver Capital Transportation Opportunities"). The Manager represented that to be fair to the investors in Carver Capital Transportation Opportunities, whose capital was locked in, Adam was permitted to retain his interests in Carver Capital, as well as investment decision making responsibilities, which is subject to the oversight of Blackpine's compliance team.

Blackpine maintains a formal restricted list, which typically includes approximately 2,000 to 3,000 names.

The Manager has a combined Directors' and Officers' / Errors and Omissions ("D&O / E&O") insurance policy to protect the Manager and Directors against claims or litigation for unsatisfactory or negligent management with total coverage of \$220 million. Blackpine represented that the cost of the policy is paid by the management company, with certain fund products charged a percentage based on the amount identified as fund eligible. Alpine notes that the D&O / E&O policy includes an extension for Loss Mitigation Costs (i.e. a Cost of Corrections rider) that could be invoked to rectify the net negative cost of any potential trade errors. Moreover, the firm confirmed that no claims have been made against the policy.

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## Chapter Summary

**GREEN**

Overall, Blackpine has implemented an adequate compliance framework, with no material deficiencies identified across key policies and procedures. As such, Alpine is comfortable providing a Green rating for *Legal, Regulatory & Compliance*. Nonetheless, Alpine highlights the ongoing CSSF inspection. Investors are encouraged to monitor developments and request the regulatory correspondence letter for review once available.

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ALPINE

## Chapter 3

Technology, Cybersecurity & Business Resilience

GREEN



## Chapter 3: Technology, Cybersecurity & Business Resilience

### IT Overview

IT functions are the responsibility of Marshall Nobles (Chief Information Officer), who is supported by a team of 69 IT professionals. Marshall is also able to draw on assistance from external consultants including Ascent IT Group Limited ("Ascent") and Vikrant Technologies.

The Manager maintains limited hardware onsite, with network switches used to connect to Blackpine's offsite servers in data centers located in Los Angeles (CA) and Stamford (CT), with two regional hubs in London (UK) and Hong Kong. The Manager indicated that onsite equipment is located in a secured room, with access granted to limited IT professionals.

With respect to backups, the Manager represented that the data is replicated between the data centers and Faction clouds on real time basis. Alpine notes that the firm's servers were previously backed up to tapes with encrypted copies removed by Iron Mountain, a third party storage provider. However, in 2023, Blackpine migrated its backups to the AWS cloud, with Iron Mountain only maintaining its historical data.

### Cybersecurity Controls

Blackpine has a formal cybersecurity policy, which was not shared with Alpine. Alpine highlights the limitation in this area. In partial mitigation, the Computer Acceptable Use Policy, dated December 2023, was made available for Alpine to review via screen share. The firm has aligned its controls and security policies with the NIST and ISO 27K cybersecurity framework. Alpine is pleased to see the Manager following a regimented approach to cybersecurity. The firm also maintains an incident response plan, dated December 2023, which was also made available for Alpine to review via screenshare. Alpine is pleased to see the Manager acknowledge the risk of security breaches.

The firm has also engaged Sentinel CyberShield (f/k/a SentinelAI) and Cyberus Defense as cybersecurity consultants for ad hoc advice and project support.

Blackpine has also instituted an annual cybersecurity training program, with the latest session held in October 2023. Training sessions include discussions on cybersecurity related matters and best practices. Furthermore, monthly phishing tests are performed on all staff.

The Manager has implemented a data loss prevention program that includes enforced user access controls to applications and sensitive data by function, reviewed annually. Moreover, the firm enforces annual password updates in adherence with the password policy's rules and restrictions, including complexity requirements and restrictions on password recycling and sharing. Blackpine has also implemented an internal data loss prevention solution that protects against sensitive data from the firm's endpoint devices (i.e. desktops, laptops, smartphones, and / or tablets) being transferred outside the network (i.e. access to removable drives, personal email accounts, and personal cloud storage accounts) without the firm's knowledge. The Manager indicated that access to removable drives is limited to a small fraction of staff and that transmission of sensitive data and large files is otherwise actively monitored.

Blackpine has implemented adequate network security controls to prevent external cybersecurity attacks including a firewall, intrusion detection system, antivirus software, malware detection, and anti-spam protection solutions. The Manager indicated that it periodically rotates the third party providers that conduct annual penetration tests, with the

latest test in November 2023 by Phalanx Security. Blackpine noted that the test generated no material findings.

The Manager previously represented that it experienced a cyber-related incident in December 2019, whereby an unknown third party obtained access to the email accounts of two Blackpine employees. The incident involved malicious applications on a portal managed by Microsoft that were disguised to give the appearance of legitimate Microsoft applications. The Manager noted that Microsoft later disabled the applications and that the incident was limited to the two employees' email accounts. Blackpine added that the third party did not gain access to Blackpine's network, file servers, or other systems and that the firm has enhanced the IT security protocols by restricting employees' access to applications from the Microsoft portal.

Historically, Alpine highlights Blackpine's disclosure that it had experienced a cybersecurity breach in September 2018. The Manager represented that during a short period while an investment professional was migrating to a new mobile device, the individual's multi-factor authentication was temporarily switched off. Blackpine's IT team discovered that someone had gained access to the investment professional's email account on September 24, 2018, and on September 25, 2018, the intruder had submitted a fraudulent request to the fund accounting group. Blackpine's IT team determined that the intruder had been able to search from within the account to access the firm's funding memo template. The Manager represented that due to employees being well trained and other controls it has implemented, the fund accountants questioned the request, flagging it immediately as suspicious, enabling the IT team to rectify the breach right away. Blackpine represented that it additionally engaged an external forensic team to assist, and together, they identified 20 messages which the intruder had been able to access. Blackpine represented that the incident did not result in the breach of any client information or financial damages. Alpine recognizes that cybersecurity breaches are inevitable and in Alpine's view, Blackpine was able to react in an appropriately timely manner to contain and rectify the breach.

### Disaster Recovery / Business Interruption

Blackpine has a written business continuity plan (the "BCP"), which was not made available for review. Alpine highlights this limitation in its diligence process. However, Alpine notes that a summary of the BCP was provided. The Manager indicated that the BCP is reviewed and tested annually. The latest failover test was in September 2023 and generated no findings.

The Manager noted that in the event staff are unable to access the firm's premises, employees are equipped with mobile email devices and laptops that could be used remotely to log in to the firm's servers using a secured VPN connection backed by dual factor authentication.

### Chapter Summary

GREEN

The Manager has implemented an adequate cybersecurity framework and IT infrastructure, which supports Alpine's Green rating for *Technology, Cybersecurity & Business Resilience*. Alpine reiterates that the full BCP was not made available for review; this limitation is captured separately in *Manager Transparency & LP Communications*.

ALPINE

## Chapter 4

Fund Structure, Terms & Investor Alignment

RED

## Chapter 4: Fund Structure, Terms & Investor Alignment

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### Legal Structure

Blackpine Global Credit Plus Fund, L.P. (the "Fund") was formed in the Cayman Islands, on December 15, 2021, and commenced operations on March 1, 2022. Blackpine Global Credit Plus Fund (Parallel), L.P. (the "Parallel Fund"), which was formed on December 15, 2021, for non-U.S. investors, invests in parallel to the Fund. The Manager noted that the Fund and the Parallel Fund invest in second debt purchases through Blackpine GCP Fund Cayman Holdings, L.P., a Cayman Islands exempted limited partnership. In addition, Blackpine Global Credit Plus Fund Feeder Cayman (Parallel), L.P. (the "Parallel Feeder") directly invests in the Parallel Fund.

Blackpine Global Credit Plus Fund GP, L.P. (the "General Partner"), a Cayman Islands exempted limited partnership, serves as the General Partner. The Fund and the Parallel Fund were registered as mutual funds on February 28, 2022, under the Mutual Funds Act (2015 Revision) with the Cayman Islands Monetary Authority.

The Fund's Limited Partnership Agreement ("LPA"), dated 2022, states that the General Partner may form more parallel funds to accommodate legal, tax, accounting, regulatory, or internal policy or guidelines or other considerations, subject to limited partners' consent. In addition, investors may be permitted in the General Partner's discretion to transfer all or a portion of their interest in the Fund to a parallel fund.

The Manager represented that additional investment-specific Special Purpose Vehicles ("SPVs") may be established, which inherently creates additional operational complexity for the firm's back office team, as well as the associated legal costs.

In 2020, Blackpine formed a warehousing vehicle, Blackpine GCP Fund Delaware Holdings III, L.P., a Delaware limited partnership, focused on investing across Blackpine's performing credit platform. The intention of investing in the warehousing vehicle was to create a seed portfolio for the Fund (the "Seed Portfolio"). The Manager noted that the Fund may directly or indirectly contribute to the Seed Portfolio, however, it indicated that the Fund has not engaged in any warehousing to date.

The Fund's auditor is Whitfield Young LLP ("Whitfield Young"), with fieldwork completed in the Cayman Islands.

Alpine notes that Whitfield Young replaced Price Kingston Partners ("PKP") as auditor effective March 24, 2016, for all products, with the change attributable to enhanced serving levels and efficiency. The Manager represented that Whitfield Young was hired in 2008 to augment PKP, which Blackpine had engaged since its inception, and the Audit Committee selected Whitfield Young to be the sole outside accounting firm after having both PKP and Whitfield Young provide audit and tax services to Blackpine and its funds for eight years.

Alpine notes that Whitfield Young has also been engaged to provide tax services to the management company: Alpine would prefer to see the Manager engage a separate firm to provide audit and tax services to the management company to avoid the appearance of a conflict of interest over the independence surrounding the Fund's audit.

## Corporate Governance

Limited partnerships do not operate under the supervision of a Board of Directors. The functional equivalent is the General Partner, which, in this instance, is an affiliate of Blackpine. As a result, there is no possibility of independent oversight equivalent to what is usually accomplished by the Board of Directors of an offshore fund structured as a corporation. The Fund does not have an LPAC or Advisory Board.

## Terms

The Fund offers limited partner interests, denominated in USD. Subscriptions are monthly, on the first Business Day of each calendar month (as defined in the Fund's offering memorandum).

Alpine highlights that the Fund holds Level 3 assets representing approximately 27% of the portfolio (as at September 30, 2023). It is unusual for an open-ended vehicle to hold illiquid assets. To that point, Alpine notes that the Fund offers quarterly redemptions, subject to a 25% investor level gate. Alpine notes that with an average 3.14 year holding period for assets (for the 12-month period ending December 31, 2023), it may take a considerable amount of time for investors to redeem from the Fund. Moreover, the Manager may experience liquidity management issues during a period of general market dislocation, should the Fund be required to redeem from its more liquid assets, thereby increasing the proportion of the portfolio allocated to Level 3 assets. The Manager indicated that to date, it has met all redemptions and has sufficient cash on hand to satisfy future redemptions. As at the time of issuance, the Manager had not yet confirmed if it has identified a target proportion of AUM which is held in cash to satisfy redemptions. Furthermore, the Manager had not provided a rationale for opting for an open-ended structure for the Fund.

Alpine highlights that the Fund's limited partnership agreement provided is not the execution version. As at the time of issuance, the Manager had not yet provided the signed version of the LPA.

Points of interest in the offering documents:

- The Fund does not have a key person provision in the event that any key person is incapacitated or otherwise no longer involved in the management of Blackpine's assets. While Alpine is comfortable with Blackpine's depth at the senior management level and the financial resources available to the firm, Alpine would prefer for investors to maintain the option to divest in a key-person event.
- The General Partner may make distributions in kind. As at the time of Alpine's review, the Manager noted that the Fund had not paid a redemption in kind to date.
- The Manager noted that the Fund can hold back up to 10% of the redemption value and once the final NAV is determined, usually within 8-10 business days following month-end valuation, the proceeds will be wired to the redeeming investor. The Manager confirmed that the audit holdback on full redemptions is enforced.
- Alpine notes that the Fund has an investor level gate which is calculated differently for each fiscal quarter. For the first quarter ("Quarter 1"), if limited partners do not make any withdrawals in the previous quarter or made withdrawals totaling less than the Available Withdrawal Amount, they can withdraw 25% of the Net Asset Value of their Interests (referred to as the "Quarter 1 Withdrawal Limit"). For the second quarter ("Quarter 2"), if limited partners withdraw an amount equal to or greater than the Quarter 1 Withdrawal Limit in Quarter 1, they can withdraw 33% of the remaining Net Asset Value of their Interests (referred to as the "Quarter 2 Withdrawal Limit"). For the third quarter ("Quarter 3"), if the Limited Partner withdrew an amount equal to or greater than the Quarter 2 Withdrawal Limit in Quarter 2, they can withdraw 50% of the remaining Net Asset Value of their interests (referred to as the "Quarter 3 Withdrawal Limit"). For subsequent quarters, if limited partners have withdrawn an amount equal to or greater than the Quarter 3 Withdrawal Limit in Quarter 3, they can withdraw the remainder of the Net Asset Value of

their Interests. Alpine highlights that the offering document does not include a provision limiting the application of the gate to a maximum number of occasions. As such, redemptions could potentially be deferred over a lengthy period if the redemption gate is applied against a constantly declining asset base in the Fund.

The Manager stated that the Fund has issued side letters, none of which contain provisions related to preferential liquidity, reduced fees, or enhanced transparency.

## Fees and Expenses

The Fund offers a tiered management fee structure based on investor AUM:

- less than \$100 million: 0.8% per annum;
- at least \$100 million but less than \$200 million: 0.75% per annum;
- at least \$200 million but less than \$300 million: 0.7% per annum; and
- \$300 million or above: 0.65% per annum.

Points of interest in the offering documents include expense items charged to the Fund:

- fees and expenses relating to consummated Permitted Investments, proposed but unconsummated Permitted Investments and Money Market Investments, costs, fees, expenses and liabilities relating to the sourcing, developing, evaluating, negotiating, structuring;
- consultant (including senior advisor and other industry specialist and service provider);
- reasonable travel, accommodation, meals, entertainment and related expenses, which may include business or first class airfare and, in limited circumstances, private air travel (including reimbursement of Blackpine or its employees for use of aircraft owned or leased by them), provided that such travel and related expenses are related to (i) Permitted Investments (whether consummated or proposed but unconsummated);
- Bloomberg fees, research and software expenses and other expenses incurred in connection with data services providing price feeds;
- costs, fees and expenses for other third party research;
- information management software, extranet tools, web portals, computer systems and other technology used in connection with the Fund and its activities.

In practice, the Manager indicated that investment research and data expenses, research related travel fees, system expenses, marketing costs, and compliance consulting costs are charged to the Fund. Conceptually, Alpine is opposed to the Manager passing through these expenses, notably compliance consulting and system expenses, which Alpine typically views as the Manager's overhead expenses. From Alpine's side, Alpine would have some preference to see Blackpine pay for such items from the fixed management fee. In partial mitigation, Alpine notes the relatively low expense ratio (discussed below).

Alpine notes that the organizational expenses are capped at 0.15% of the Fund's average NAV during the fiscal year, and the capped amount is calculated on a monthly basis, subject to the annual true-up (as defined in the offering document). If the organizational expenses are less than 1/12 of the annual expense cap, Blackpine shall be entitled to reimbursement by the Fund of any management fees reduced or the reimbursement of any expenses. However, if the organizational expenses exceed 1/12 of the annual expense cap, Blackpine shall reduce its management fee installment by the amount of such excess (but not below zero) or waive the reimbursement of expenses paid by Blackpine.

Alpine notes that the Fund's expense ratio was 19.87 bps for the reporting period ending December 31, 2022. Per the audited financial statements, total operating expenses were \$231,000 (legal and professional fees \$308,000 plus other operating expenses of \$(77,000), the latter net of \$112,000 of expenses deferred by Blackpine). The Fund's December 31, 2022 audited financial statements disclosed management fees of \$195,000 and net investment income of \$13,790,000 (interest income).

## Investment Strategy

The Fund is an open-ended vehicle which invests globally in bonds, senior loans, structured credit, emerging market debt, and convertibles, inclusive of both public and private credit sectors. With respect to asset classes, the Manager expects the portfolio to have most sizeable exposure to private credit, high yield bonds, senior loans and structured credit. Allocations to emerging markets debt and convertibles will be sized smaller, as the firm believes these are more opportunistic.

As at December 31, 2023, the portfolio held 549 issuers. As at September 30, 2023, the average concentration of each holding was approximately 19 bps with an 8% limit in exposure to each issuer. With respect to geography, the portfolio invests globally but has a significant allocation (expected > 75%) to North American opportunities. The balance is invested in Europe / UK, South America, and other countries.

With respect to liquidity, as at December 31, 2023, the Manager indicated that 46% of the portfolio could be liquidated within a week, 18% within two weeks, 3% within a month, 8% within a quarter, and 25% above a quarter. In addition, the Manager noted that for the 12 month period ended December 31, 2023, the average holding period for the investments in the Fund was 3.14 years.

The Fund's annualized track record, as provided by the Manager, is 10.88% for 2023, -2.07% for 2022, and 2.39% for 2021 (partial period from July). Balance sheet leverage is not greater than 150%.

## Chapter Summary

**RED**

Alpine highlights the liquidity mismatch between the open-ended structure (quarterly redemptions with a 25% investor-level gate and 90-day notice) and the underlying portfolio, which holds approximately 27% Level 3 assets with an average 3.14-year holding period. Alpine additionally highlights the extensive range of expenses that are borne by the Fund in practice (investment research and data, research-related travel, system expenses, marketing costs, and compliance consulting costs), which Alpine typically views as the Manager's overhead. The 10% audit holdback and the absence of any sunset provision on the redemption gate further constrain investor rights. These observations drive Alpine's Red rating for *Fund Structure, Terms & Investor Alignment*.

ALPINE

## Chapter 5

### Service Providers, Delegation & Oversight

RED



## Chapter 5: Service Providers, Delegation & Oversight

### Administrator

Alpine highlights that the Fund has not appointed an independent administrator: as such, investors are reliant on the Manager to maintain accounting books and records. All partnership accounting records are maintained in-house by Blackpine's back office team, which consists of eight full-time fund accounting professionals. Alpine notes that the firm has also engaged Lattice Fund Services ("Lattice") to provide day to day assistance in back office functions, including reconciliations and preparing a preliminary package of the month end NAV, which is reviewed by Blackpine's back office. The Manager represented that it prefers to self-administer the Fund as it feels that it has more control over the process and that it has sufficient resources internally to manage the process. Conversely, the firm stated that certain of its other open-ended funds, which have a daily NAV, have appointed a third party administrator such as Continental Trust Fund Services or Harbor Commerce. Alpine notes that the failure of a fund to appoint an administrator is now exceptionally unusual post-Madoff, and highlights this material operational deficiency. Alpine would strongly prefer the Fund appoint a third-party administrator under a full-service agreement to provide independent oversight over the activities of the Fund.

In partial mitigation, Alpine notes that with \$183.17 billion in assets under management (as of September 30, 2023), Blackpine is a large, institutional asset manager with significant resources. As such, the risk of loss to investors should this arrangement present an issue is somewhat mitigated. Nevertheless, Alpine would strongly prefer the Fund appoint a third party administrator under a full service agreement to provide independent oversight over the activities of the Fund, in line with standard industry practice. The appointment of a third party administrator would serve to strengthen support around fund accounting, valuation, and most notably given the liquidity mismatch (discussed in *Terms*), investor capital accounting, and redemption activity. Overall, Alpine highlights the Manager's reluctance to adopt industry trends and best practices. Alpine would strongly prefer to see institutional investment managers leading, rather than lagging, best practice. More generally, as under any self-administration regime, investors are wholly reliant upon the Manager to ensure accurate day-to-day reconciliation, portfolio accounting, and investor records. Investors should not allocate to the Fund unless comfortable with this arrangement.

### Auditor

The Fund's auditor is Whitfield Young LLP ("Whitfield Young"), with fieldwork completed in the Cayman Islands. Alpine highlights that Whitfield Young also provides tax services to the management company, which is a conflict of interest that Alpine would prefer to see eliminated. Whitfield Young replaced Price Kingston Partners ("PKP") as auditor effective March 24, 2016.

### Custodian, Counterparties & Bankers

The Fund maintains a custodial and banking relationship with Continental Trust Bank ("Continental Trust"). In addition, the Fund has International Swaps and Derivative Association ("ISDA") agreements with Harbor Commerce Bank and Trust Company ("Harbor Commerce"). Furthermore, the Fund has a Futures Commission Merchant ("FCM") relationship with Keystone Securities.

Alpine highlights that, given the Fund's lack of an independent administrator, there is no external confirmation of the existence of custodied assets (47% of the portfolio) as at September 30, 2023.

Alpine highlights that the Fund's investment strategy creates unavoidable custody and existence risk as 53% of the portfolio is evidenced by private agreements, which are not subject to traditional custody safekeeping and typically consist of closing documentation and legal contracts (e.g. purchase and sale agreements, etc.) that are maintained electronically by the Manager, with copies held by external legal counsel.

From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Blackpine professionals and external parties. Furthermore, Alpine understands that Whitfield Young as auditor tests the entire private portion of the portfolio at year-end for existence.

Alpine highlights the misalignment regarding the frequency of asset existence validation, conducted by the auditor at year end only, which is far below best practices for open-ended structures: procedures supporting asset existence for open-ended structures are expected to be aligned with the reporting and redemption cycle. As such, Alpine would have a strong preference for additional procedures to be added that are aligned with the Fund's monthly reporting cycle.

All ISDA agreements are negotiated with the assistance of Winston Sterling LLP. Alpine's review identified that ISDA agreements have standard provisions with respect to bilateral collateral arrangements and cross-default. Alpine notes that ISDA agreements do not include NAV decline triggers.

The Manager does not have a formal committee responsible for overseeing counterparty credit exposure. In practice, counterparty risk is monitored on an ongoing basis by the compliance function, and various investment teams, and includes credit ratings, counterparty relationships, and ongoing market news. Investors may wish to see the firm develop a more formal approach to counterparty risk management over time.

Margin and cash balances held with ISDA counterparties are reviewed on a daily basis, and excess collateral is swept daily outside margin accounts.

### **Other Service Providers**

- Compliance consultant: Apex Compliance Partners (mock audits); Ironbridge Advisors (ad hoc testing).
- Technology consultants: Ascent IT Group Limited and Vikrant Technologies.
- Cybersecurity consultants: Sentinel CyberShield (f/k/a SentinelAI) and Cyberus Defense.
- Penetration testing: Phalanx Security.
- Background check providers: ScreenCorp and Verity Verification Systems.
- Employee compliance surveillance: ComplySci.
- Pricing vendors: ICE, IHS Markit, Refinitiv, PricingDirect, and BVAL.
- Expert networks: InsightBridge, ConsultEdge, Cobalt Research Group, and Axiom Insights.
- Data aggregation (real estate products): Crestline Asset Services.
- Back-office consulting: Lattice Fund Services, an affiliate of Stellar Corporate Services.

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**Chapter Summary****RED**

The Fund's self-administration drives Alpine's Red rating for *Service Providers, Delegation & Oversight*. Alpine reiterates that the appointment of a third-party administrator under a full-service agreement is best-in-class practice for an open-ended credit vehicle, and is particularly important given the Fund's liquidity mismatch and Level 3 concentration. Separately, Alpine highlights that the Fund's auditor (Whitfield Young) also provides tax services to the management company, a conflict Alpine would prefer to see eliminated. The unresponsive FCM (Keystone Securities) and corporate banker verification attempts further limited Alpine's ability to corroborate service provider engagements.

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CONFIDENTIAL

ALPINE

## Chapter 6

### Investment Operations & Portfolio Controls

YELLOW

## Chapter 6: Investment Operations & Portfolio Controls

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### Order Management & Trading

Blackpine uses Summit as its order management system ("OMS") to capture transactions and SS&C Advent's Geneva ("Geneva") for portfolio accounting. Given that the Fund is self-administered, Alpine highlights that the Manager is responsible to maintain the Fund's formal books and records.

Trading volume for the Fund is low, with an average of six trades a day. Trading volume across the firm is moderate to high, with approximately 20,000 block trades performed annually.

Orders are authorized by the portfolio managers and communicated to the traders via Bloomberg for execution. Alpine understands that the professionals responsible for trading the underlying strategies included in Global Credit Plus vary on a strategy-by-strategy basis. For High Yield Bonds, Senior Loans, Private Credit, and Absolute Return, trades are handled by members of Blackpine's 14-person trading team, which maintains trading desks in Los Angeles (CA), London (UK), Stamford (CT), Hong Kong and Singapore offices. For Corporate Structured Credit, Emerging Markets Debt, Real Estate Debt, and Convertibles, trades are executed by the portfolio managers and / or senior members of the investment team.

Trades are entered into Summit upon execution by traders and then allocated using either the system generated allocation method or manually per instructions from the portfolio manager or senior investment professional. Once the allocation is complete, a trader will electronically approve the trade. The trade is then reviewed by compliance for adherence to client guidelines and allocation policies. Subsequently, trades are confirmed with the executing broker electronically using DTCC's CTM or Bloomberg messages. Once the trade is approved for settlement, trades are communicated to custodians through the SWIFT network or by file, fax, or email depending on the product and recipient's capabilities. Trades are also sent electronically to Geneva.

Private investments are approved by the Investment Committee ("IC") which consists of Bradley Kessler (CIO), Portfolio Managers, and professionals from the Credit Research, Risk and Portfolio Analytics, and Product Management teams. The IC meets twice every month. As at the time of issuance, the Manager had not yet confirmed whether a majority or unanimous vote is required to pass an investment.

Blackpine maintains a trade allocation policy (undated), which was made available for Alpine to review in soft copy. Alpine would prefer for this document to be dated to reflect the frequency of updates. As a point of interest, the Fund's LPA notes that Blackpine and its affiliates manage a large number of products which may have priority ahead of the Fund when there is investment overlap. In the case of overlap, the Manager indicated that the investment team is responsible for determining trade allocations and the allocations are determined on a pro-rata basis. As at the time of issuance, the Manager had not confirmed whether the allocations are done pre or post trade. In addition, compliance has oversight over the allocation process.

Furthermore, Blackpine indicated that cross transactions are not permitted between funds and accounts in practice.

## Reconciliation

Internally, Blackpine utilizes Lattice to provide support to the back office and perform the reconciliation of cash and position with the custodian on a daily basis, with a formal reconciliation performed on a monthly basis.

Reconciliations for review of aged or unusual transactions are sent to both the accounting and trade support teams. Income payments are posted contractually on the payment date in Geneva. As such, if income is not received by a custodian, it will be identified in the daily cash reconciliation. The daily reconciliation process will also identify any potential position breaks as a result of failed trades or other processing discrepancies. Any discrepancies are followed up by either Lattice or Blackpine with the custodian.

Alpine reiterates that the Fund has not appointed a third party administrator. As such, there is no independent reconciliation process. Given the variety of instruments and trading methodologies within the portfolio, Alpine would strongly prefer an external reconciliation conducted on a monthly basis in line with the Fund's reporting cycle.

## Asset Transfers & Treasury Operations

The Fund maintains an operating account with Continental Trust that is utilized to fund investments, pay non-investment related expenses, and process subscriptions and redemption activity.

Due to the lack of an external third party administrator, all asset transfers are controlled by the Manager under a dual signature policy. In practice, online treasury systems are generally employed, which require separate individuals to initiate, verify, and release the wires. The Manager maintains separate class A, B, C, and D lists of signatories. Alpine notes that the Class A and B signatories consist primarily of Blackpine executives, attorneys, officer-level investment professionals in the relevant investment strategy, traders, and trade-support officers, while the Class C and D signatories consist primarily of Blackpine executives, accounting officers, tax officers, and trade support officers. The Manager stated that two signatures are required to authorize external cash movements.

Alpine notes that while the firm provided its signature resolutions document for review, Alpine notes that the certificate is an internal document and not from a financial institution. As such, Alpine was unable to independently verify the contractual dual signature policy. Alpine recommends investors follow up to review account opening documents or a signature card evidencing the contractual dual signature policy.

Alpine highlights that financial institutions implement detailed clauses with respect to contractual liability within their agreements. As such, it may be unlikely that a counterparty would be contractually obliged to repay a fund in the event of an erroneous cash transfer, and financial institutions may decline to be held to a binding contractual obligation to verify dual signature authorizations (especially for non web-based instructions, such as faxed or scanned instructions). In mitigation, Alpine understands that all wire transfers are processed through online treasury systems.

Alpine also notes that the addition of new payment instructions and wires over a materiality threshold are subject to a verification call back process. The implementation of this additional control serves to increase the robustness of the treasury cycle.

The Manager indicated that operating expenses are initially paid by the management company and subsequently reimbursed by the Fund on a recurring cycle.

The Manager stated that dual signatures are required to open a bank account in the name of the Fund.

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## Chapter Summary

YELLOW

Alpine highlights the lack of external oversight on the existence of portfolio holdings as well as external cash transfers, due to the absence of a third party administrator. Further to this, the private assets portion of the portfolio can only be tested by an external party (Whitfield Young) on an annual basis. Alpine would strongly prefer that asset existence be tested at each monthly NAV calculation date. Lastly, Alpine reiterates the absence of an external third party to verify the veracity of asset transfers. These observations, along with the absence of a formal counterparty credit risk committee and the presence of private investments exceeding 5% of NAV not held in traditional custody, drive Alpine's Yellow rating for *Investment Operations & Portfolio Controls*. Note that the broader self-administration gap is captured in Alpine's Red ratings for *Service Providers, Delegation & Oversight* and *Fund Structure, Terms & Investor Alignment*.

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## Chapter 7

Valuation, Asset Existence & Investor Reporting

YELLOW



## Chapter 7: Valuation, Asset Existence & Investor Reporting

### Valuation Controls

The portfolio introduces high valuation risk. As at September 30, 2023, Level 1, 2, and 3 assets represented less than 1%, 73%, and 27%, respectively.

The Manager maintains a written valuation policy (undated), which was made available for Alpine to review in soft copy. Alpine would prefer for this document to be dated to reflect the frequency of updates. The valuation policy is comprehensive and encompasses all the instruments held in the portfolio. In addition, the valuation policy states that the valuation committee has overall responsibility for the valuation process.

Blackpine has a valuation committee consisting of Adrian Sheldon (Head of Valuation), Robert Langford (Global Co-PM), and Pablo Uriarte (Global Co-PM), who meet quarterly. Alpine highlights that the committee is not composed of a majority of senior back office team members and would prefer to see the committee represented by a majority of non-investment professionals to remove the appearance of conflicts of interest over the involvement of the committee in the pricing process. In mitigation, all valuations must be additionally approved by Adrian, ensuring that the investment team cannot override the valuation group. In addition, Alpine prefers that the valuation committee convene at every NAV calculation date (i.e. monthly). The Manager indicated that the valuation committee meetings are only signed off by the members. Alpine would prefer the firm formally document the meeting in minutes.

In practice, all Level 1 positions, the vast majority (98.7%) of Level 2 assets, and a portion (5.55%) of Level 3 positions are priced to recognized pricing feeds / vendors (i.e. ICE, IHS Markit, Refinitiv, PricingDirect, and BVAL) in accordance with the valuation policy. In terms of the overall portfolio, the Manager indicated that the portion of Level 2 and Level 3 positions priced to pricing vendors represented 72% and 1.5% of the total portfolio, respectively, as at September 30, 2023.

Alpine understands that a minimal portion of Level 2 investments (0.73%) and Level 3 assets (0.05%) are priced to broker quotes. The Manager represented that Blackpine's valuation team solicits quotes from brokers via Bloomberg. Blackpine applies a consistent, formulaic pricing mechanism to determine a final price when multiple quotes are obtained (i.e. the average of the midpoint marks), and the source of each quote is monitored on a month-over-month basis to prevent "cherry picking" of more favorable pricing. The Manager stated that in the case multiple quotes are used, it typically prices to two broker quotes. In terms of the overall portfolio, Alpine notes that the total proportion of assets priced to broker quotes represented less than 1% of the total portfolio as at September 30, 2023.

Furthermore, Alpine notes that of this proportion, the majority of cases involved pricing to a single broker quote. Blackpine stated that it would price to broker quotes in the case that a vendor price is unavailable, or when only a single vendor is available and it wants to source a broker quote as a comparison price. If that broker quote is not in alignment with the vendor price, the firm will generally use the broker quote. Furthermore, when two vendors are available, but not in alignment with each other, the firm will look to source a broker quote as a comparison price. Blackpine added that if that broker quote is not in alignment with either vendor price, it will generally use the broker quote.

The Manager represented that for the balance of Level 3 assets, representing approximately 25.5% of the overall portfolio as at September 30, 2023, Blackpine's valuation team prices such investments on a monthly basis, subject to the valuation committee's quarterly review. The firm noted that various valuation methodologies are employed, including comparable company transactions, performance multiples, and discounted cash flow analysis. In addition,

the back office performs a review of pricing inputs and assumptions. The Manager stated that assets may be held at cost for up to six months following acquisition, however, this is typically one month in practice. The valuation committee is responsible for determining the length of an asset being held at cost.

Alpine notes that the Fund has not appointed an external valuation agent to provide independent pricing support over Level 3 securities. Given that such securities represented 27% of the portfolio as at September 30, 2023, Alpine would recommend Blackpine to appoint a third party agent to provide a level of external validation over positions priced at fair market value internal to the firm. Alpine strongly supports the appointment of an external valuation agent: such an appointment provides for superior segregation of duties in the valuation process, additional independence, and further control confidence over valuation consistency and computational accuracy. In partial mitigation, the Manager represented that Blackpine's other funds which hold the same Level 3 assets have engaged third party valuation agents to provide independent pricing over those funds' assets, with those third party marks compared against the Manager's internal marks for the Fund. The Manager added that all internal marks have fallen within the range provided by the external valuation agents. Alpine notes that third party valuation agents are engaged to provide independent pricing under a full valuation review for those funds. As such, the valuation agent undertakes a full pricing analysis, including selecting model inputs and assumptions, and provides a range of values with no price received from the Manager. The Manager provided that the frequency of updates to the valuation agent reports depends on the respective product. Overall, Alpine reiterates that the vast majority (94.4%) of the Level 3 assets held in the Fund are effectively priced to third party valuation agent reports, however, such reports are produced on behalf of the firm's other products. While prices are not expected to differ, Alpine would prefer that the firm engage a valuation agent for the Fund directly (rather than using other funds' pricing as a proxy) in order to mitigate any potential issues or conflicts of interest.

Further to the above, Alpine highlights that in the absence of a third party administrator for the Fund, the portfolio valuations are only subject to external verification on an annual basis by the Fund's auditor (and by an external valuation agent when the Fund's holdings are also held by other Blackpine funds which have engaged such an agent). The auditor receives financial information from Blackpine and validates Blackpine's pricing models. The Manager also noted that the auditor has direct access to valuation agents if it has any queries. As at the time of Alpine's meeting (March 2024), the Manager stated that the auditor had never raised material pricing challenges for Blackpine's products. Alpine would nevertheless strongly prefer the Manager engage an external party to provide price verification or valuation services at each monthly reporting cycle.

### **Net Asset Value Controls**

The Manager is responsible for preparing and issuing the Fund's final monthly NAV and confirmed that it typically releases it to investors within 10 business days after month end. As there is no independent administrator, investors will rely on Whitfield Young's annual audit process for external validation of the NAV.

Blackpine maintains investor level accounting records using Geneva.

The Manager represented that the Fund has never issued an erroneous net asset value.

### **Financial Reporting Controls**

Alpine has reviewed the Fund's audited financial statements for the period from March 1, 2022 (commencement date), to December 31, 2022. The accounts were prepared under U.S. GAAP and received unqualified opinions dated March 16, 2023. The audit opinion is addressed to the General Partner, with fieldwork completed in Grand Cayman.

Alpine notes that the audit opinion is addressed to the General Partner (rather than the limited partners), as is standard for Cayman exempted limited partnerships. Alpine highlights situations where the audit opinion is addressed to the Board of Directors (for corporate entities) or the General Partner (in the case of limited partnerships). In such instances, the audit firm has taken the deliberate decision not to address their audit opinion to the shareholders / limited partners who, of course, own the assets of the fund in question. This decision is taken by audit firms solely to attempt to limit liability and avoid any indication that their work can be used and relied upon by shareholders. Alpine strongly disagrees with this practice, which Alpine does not believe is in accordance with GAAS (Generally Accepted Auditing Standards).

As the Fund does not utilize the services of an independent third party administrator, Alpine understands that the Manager distributes the audited financial statements to investors directly.

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## Chapter Summary

**YELLOW**

The valuation committee is not composed of a majority of non-investment professionals, does not convene at each NAV calculation date, and meetings are not formally documented in minutes. No external valuation agent has been appointed directly for the Fund to provide independent pricing on the approximately 27% of the portfolio held in Level 3 securities. While the Fund's Level 3 assets overlap with other Blackpine products for which external valuation agents have been engaged, Alpine would prefer the firm engage a valuation agent for the Fund directly. In addition, valuations are only subject to external verification on an annual basis (via the audit), which is misaligned with the Fund's monthly reporting cycle. These observations drive Alpine's Yellow rating for *Valuation, Asset Existence & Investor Reporting*.

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## Chapter 8

### Manager Transparency & LP Communications

YELLOW

# Chapter 8: Manager Transparency & LP Communications

## Transparency Limitations

Alpine highlights that the Manager declined to provide the business continuity plan ("BCP") and correspondence letters for previous regulatory examinations for review. Furthermore, the Manager had not provided any banking documents evidencing authorized signatories and contractual arrangements over asset transfers. Alpine highlights this limitation in its diligence process.

Specifically:

- **BCP not made available for review.** The Business Continuity Plan is an important document: investors wish to see that (i) a plan exists and (ii) the plan is reasonably detailed and outlines business continuity measures which are commensurate with the size of the management company and the scope of the manager's operations. Refusal to provide this document impedes investors' ability to evaluate a manager's information technology environment and the firm's broader capability to continue operations during a business interruption event. In partial mitigation, the Manager provided Alpine with a summary of the BCP.
- **Regulatory inspection exit letters not made available for review (DFSA, SFC, MAS).** Documentation provided by the regulator provides an important evidentiary source for investors during the due diligence process. Alpine acknowledges that certain regulators (notably the MAS, and the UK) impose obligatory confidentiality requirements on managers which preclude distribution to investors. However, absent sight of regulator correspondence, investors do not have assurance that manager descriptions as to the nature of regulatory findings and related correspondence is complete and accurate.
- **Documentation evidencing contractual arrangements over asset transfers not made available for review.** Alpine flags instances where an investment manager refuses to make documentation evidencing contractual arrangements over asset transfers available for review. This verification procedure is important and serves to corroborate manager representations on the levels of approval required to execute a transaction and the signing authority of each individual.

## Investor Reporting

Given that the Fund is self-administered, the Manager is responsible for preparing and distributing investor statements, capital account statements, and the annual audited financial statements. Alpine reiterates its preference for a third-party administrator to assume responsibility for investor capital accounting and reporting.

## Chapter Summary

YELLOW

Alpine highlights that the Manager declined to provide the BCP and correspondence letters for previous regulatory examinations for review. Furthermore, the Manager had not provided any banking documents evidencing authorized signatories and contractual arrangements over asset transfers. These factors drive Alpine's Yellow rating for *Manager Transparency & LP Communications*.

# Reference Data

## 1. Manager

### Management Company and Affiliates

| Field                              | Value                                                                                                                                                              |
|------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Manager name                       | Blackpine Capital Management, L.P.                                                                                                                                 |
| Date of commencement of operations | April 7, 1995                                                                                                                                                      |
| Manager legal structure            | Public Company (indirect, through Meridian Asset Management Ltd.)                                                                                                  |
| Publicly traded                    | Yes — Meridian Asset Management Ltd. (NYSE: MAM, TSX: MAM, ENX: MAMX)                                                                                              |
| Primary location                   | Los Angeles (CA)                                                                                                                                                   |
| Other offices                      | Multiple — including Stamford (CT), London, Hong Kong, Singapore, Tokyo, Seoul, Sydney, Shanghai, Beijing, Dubai, Luxembourg, Amsterdam, Dublin, Mumbai, Stockholm |

Material affiliates include Meridian Asset Management Ltd.; Meridian Blackpine Wealth Solutions LLC; Blackpine (Beijing) Investment Management Co., Ltd.; Blackpine Capital (Australia) Pty Limited; Blackpine Capital (Hong Kong) Limited; Blackpine Capital (Seoul) Ltd.; Blackpine Capital Management (Dubai) Limited; Blackpine Capital Management (Europe) LLP; Blackpine Capital Management (International) Limited; Blackpine Capital Management (Lux) S.à r.l.; Blackpine Capital Management (UK) LLP; Blackpine Capital Management Pte Ltd.; Blackpine France S.A.S.; Blackpine Fund Advisors, LLC; Blackpine GmbH; Blackpine International Holdings, LLC; Blackpine Japan, Inc.; Blackpine Overseas Investment Fund Management (Shanghai) Co., Ltd.; and BCM Investments, LLC.

### Assets Under Management (Firm Level)

| Field                               | Value              |
|-------------------------------------|--------------------|
| AUM report date                     | September 30, 2023 |
| Total AUM                           | \$183.17 billion   |
| Total AUM (prior year)              | \$163.23 billion   |
| Investor concentration report date  | September 30, 2023 |
| Capital held by largest investor    | 4.00%              |
| Capital held by 5 largest investors | 16.00%             |

| Field                                       | Value                 |
|---------------------------------------------|-----------------------|
| Manager offers regulated product structures | Yes (1940 Act, UCITS) |
| Manager runs separately managed accounts    | Yes                   |

### Insider Investment (Firm)

| Field                     | Value                                           |
|---------------------------|-------------------------------------------------|
| Insider investment - firm | \$13.5 billion (approximately 7.4% of firm AUM) |

### Ownership

| Field                       | Value                                                          |
|-----------------------------|----------------------------------------------------------------|
| Internal investors          | Current and former Blackpine executives and employees (32.00%) |
| External investors          | Meridian Corporation (68.00%)                                  |
| Controlling equity interest | No                                                             |
| Seed investor relationship  | No                                                             |

### Human Resources

| Field                            | Value         |
|----------------------------------|---------------|
| Total headcount                  | 1,248         |
| Investment professionals         | 392           |
| Back office professionals        | 294           |
| Other employees                  | 562           |
| Part-time staff                  | Not disclosed |
| Third-party consultants retained | Yes           |
| Employees related / married      | No            |

### Principals and Key Professionals

| Role                                             | Name             |
|--------------------------------------------------|------------------|
| Co-Chairman                                      | Harold Merritt   |
| Co-Chairman / Chief Investment Officer           | Bradley Kessler  |
| Vice Chairman                                    | James Fremont    |
| Co-CEO, Portfolio Manager - Global Opportunities | Robert Langford  |
| Co-CEO, Head of Performing Credit                | Arman Petrossian |
| Chief Operating Officer                          | Thomas Merrick   |
| Chief Financial Officer                          | Daniel Latham    |
| Chief Compliance Officer                         | Ronan Villiers   |
| Chief Information Officer                        | Marshall Nobles  |
| Head of Valuation                                | Adrian Sheldon   |
| Global Co-PM                                     | Pablo Uriarte    |



## 2. Legal, Regulatory & Compliance

### Regulatory Oversight

| Field                                                                  | Value                                                      |
|------------------------------------------------------------------------|------------------------------------------------------------|
| Securities and Exchange Commission                                     | Registered (since April 7, 1995)                           |
| National Futures Association /<br>Commodity Futures Trading Commission | Registered (CPO and CTA, since January 1, 2013)            |
| Financial Conduct Authority (UK)                                       | Registered (Blackpine Capital Management (UK) LLP)         |
| Securities and Futures Commission<br>(Hong Kong)                       | Registered (Blackpine Capital (Hong Kong) Limited)         |
| Dubai Financial Services Authority                                     | Registered (Blackpine Capital Management (Dubai) Limited)  |
| Commission de Surveillance du Secteur<br>Financier                     | Registered (Blackpine Capital Management (Lux.) S.à r.l.)  |
| Financial Services Agency (Japan)                                      | Registered (Blackpine Japan, Inc.)                         |
| Monetary Authority of Singapore                                        | Registered (Blackpine Capital Management Pte. Ltd.)        |
| Financial Industry Regulatory Authority                                | Member (BCM Investments, LLC)                              |
| Australian Securities & Investments<br>Commission                      | Registered (Blackpine Capital (Australia) Pty Limited)     |
| Date of most recent regulatory inspection                              | August 2023 (FINRA — BCM Investments)                      |
| Subject to regulatory sanction(s) in the<br>past 10 years              | Yes — 2018 SEC fine of \$100,000 (political contributions) |
| Subject to non-routine correspondence in<br>past 5 years               | Yes — ongoing CSSF inspection since September 8, 2022      |

### Compliance Infrastructure

| Field                            | Value                                                                |
|----------------------------------|----------------------------------------------------------------------|
| Compliance officer               | Ronan Villiers                                                       |
| Compliance consultant            | Apex Compliance Partners (mock audits); Ironbridge Advisors (ad hoc) |
| Compliance manual                | Available for inspection (dated January 2023)                        |
| Compliance officer outsourced    | No                                                                   |
| SOC 1 / external controls report | Yes (auditor: Whitfield Young)                                       |

| Field                                 | Value     |
|---------------------------------------|-----------|
| Employee compliance surveillance tool | ComplySci |

### Claims, Actions, and Conflicts

Alpine understands that Blackpine and its staff are routinely involved in litigation arising in the ordinary course of business and investing activities, particularly related to real estate portfolio companies. Blackpine represents that no litigation or regulatory action to date has had a material adverse financial impact on Blackpine and it is not aware of any pending litigation or regulatory enforcement action that might reasonably be expected to have such an effect. Exiger background investigation identified Blackpine as a party to 27 federal lawsuits between 2013 and 2023 (22 as defendant / co-defendant, five as plaintiff; 24 closed).

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### 3. Technology, Cybersecurity & Business Resilience

#### Information Technology

| Field                    | Value                                                    |
|--------------------------|----------------------------------------------------------|
| Technology consultant    | Ascent IT Group Limited; Vikrant Technologies            |
| Cybersecurity consultant | Sentinel CyberShield (f/k/a SentinelAI); Cyberus Defense |

#### Cybersecurity Controls

| Field                                  | Value                    |
|----------------------------------------|--------------------------|
| Cybersecurity policy                   | Available for inspection |
| Cybersecurity breach in past year      | No — See note            |
| Frequency of cybersecurity training    | Annually                 |
| Network penetration testing consultant | Phalanx Security         |
| Date of last network penetration test  | November 1, 2023         |
| Frequency of phishing testing          | Monthly                  |

*Note:* The Manager experienced a cyber-related incident in December 2019 (unknown third party accessed two employees' email accounts via malicious Microsoft portal applications) and a previous incident in September 2018 (intruder accessed an investment professional's email account during device migration). Both were contained with no client information breach or financial damages.

#### Disaster Recovery / Business Interruption

| Field                    | Value                                                                  |
|--------------------------|------------------------------------------------------------------------|
| Business continuity plan | Available for inspection (Manager declined to share; summary provided) |
| BCP enacted in past year | No                                                                     |
| Latest failover test     | September 2023 — no findings                                           |

## 4. Fund

### Corporate Structure

| Field                              | Value                                                                                                                                                          |
|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Domicile                           | Cayman Islands                                                                                                                                                 |
| Date of incorporation              | December 15, 2021                                                                                                                                              |
| Date of commencement of operations | March 1, 2022                                                                                                                                                  |
| Asset class                        | Long-Only Fund                                                                                                                                                 |
| Type of structure                  | Exempted Limited Partnership                                                                                                                                   |
| General Partner                    | Blackpine Global Credit Plus Fund GP, L.P.                                                                                                                     |
| Other entities in structure        | Blackpine GCP Fund Cayman Holdings, L.P.; Blackpine Global Credit Plus Fund (Parallel), L.P.; Blackpine Global Credit Plus Fund Feeder Cayman (Parallel), L.P. |
| Segregated cell / umbrella         | No                                                                                                                                                             |
| Offering document date             | February 15, 2022                                                                                                                                              |

### Assets Under Management (Fund Level)

| Field                               | Value              |
|-------------------------------------|--------------------|
| Fund AUM (September 30, 2023)       | \$297 million      |
| Fund AUM (December 31, 2023)        | \$343 million      |
| Insider investment - Fund           | \$192 million      |
| Investor concentration report date  | September 30, 2023 |
| Capital held by largest investor    | 15.00%             |
| Capital held by 5 largest investors | 34.00%             |

### Service Providers

| Role          | Provider            |
|---------------|---------------------|
| Administrator | Self-administered   |
| Auditor       | Whitfield Young LLP |

| Role                   | Provider                                                           |
|------------------------|--------------------------------------------------------------------|
| Custodian              | Continental Trust Bank                                             |
| Corporate banker       | Continental Trust Bank                                             |
| ISDA counterparty      | Harbor Commerce Bank                                               |
| FCM                    | Keystone Securities                                                |
| Legal counsel (ISDA)   | Winston Sterling LLP                                               |
| Back-office consulting | Lattice Fund Services (an affiliate of Stellar Corporate Services) |

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## 5. Service Providers, Delegation & Oversight

*(See Chapter 5 narrative and Section 4 Service Providers table above.)*

Additional notes:

- Whitfield Young LLP replaced Price Kingston Partners as auditor effective March 24, 2016.
- The auditor also provides tax services to the management company (conflict flagged).
- The Manager engages Lattice Fund Services to provide day-to-day back-office assistance (reconciliations and preliminary month-end NAV packages).

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## 6. Fund Terms

### Share Class Terms

| Field                           | Value                                                     |
|---------------------------------|-----------------------------------------------------------|
| Subscription frequency          | Monthly                                                   |
| Shares carry voting rights      | No                                                        |
| Redemption frequency            | Quarterly                                                 |
| Redemption notice period (days) | 90                                                        |
| Redemption gate type            | Investor Level                                            |
| Redemption gate description     | 25.00% — stepped up Q1/Q2/Q3 as described in <i>Terms</i> |
| Lockup (hard)                   | None                                                      |
| Lockup (soft)                   | None                                                      |
| Holdback percentage             | 10.00%                                                    |
| Holdback type                   | Audit                                                     |

### Redemptions - Fund Level

| Field                                        | Value          |
|----------------------------------------------|----------------|
| Side pocket provision                        | No             |
| Redemption in kind provision                 | Yes (see note) |
| Commitments and contingencies provision      | Yes            |
| Suspension of redemptions provision          | Yes            |
| Key man provision                            | No             |
| Fund has ever enacted redemption gate        | No             |
| Fund has ever used side pockets              | No             |
| Fund has ever paid redemption in kind        | No             |
| Manager has previously suspended redemptions | No             |

**Management and Incentive Fees**

| Investor NAV (\$M)                 | Management Fee % (p.a.)     |
|------------------------------------|-----------------------------|
| less than \$100                    | 0.80%                       |
| at least \$100 but less than \$200 | 0.75%                       |
| at least \$200 but less than \$300 | 0.70%                       |
| \$300 or above                     | 0.65%                       |
| Field                              | Value                       |
| Incentive fee                      | None                        |
| High watermark                     | N/A                         |
| Hurdle rate                        | None                        |
| Subscription fee / Redemption fee  | None                        |
| Expense ratio - Fund (latest year) | 19.87 bps                   |
| Organizational expense cap         | 0.15% of Fund's average NAV |



## 7. Investment Operations & Portfolio Controls

### Trading Control Details

| System               | Provider                                                                      |
|----------------------|-------------------------------------------------------------------------------|
| Order Management     | Summit (internal)                                                             |
| Portfolio Accounting | SS&C Advent's Geneva                                                          |
| Investor Allocation  | Summit (internal)                                                             |
| Reconciliation       | Summit (internal), with Lattice performing daily cash/position reconciliation |
| Risk Management      | Alpha Theory, Factset                                                         |

*Investment Allocation Policy:* Received by Alpine (undated).

### Prime Brokers, Custodians and Counterparties

| Role                         | Provider               |
|------------------------------|------------------------|
| Custodian                    | Continental Trust Bank |
| FCM                          | Keystone Securities    |
| ISDA                         | Harbor Commerce Bank   |
| Cash held by private company | None                   |

## 8. Valuation, Asset Existence & Investor Reporting

### Valuation Controls

| Field                                                   | Value                                                |
|---------------------------------------------------------|------------------------------------------------------|
| Valuation policy                                        | Received (undated)                                   |
| Valuation committee                                     | Yes — Adrian Sheldon, Robert Langford, Pablo Uriarte |
| Frequency with which valuation committee meets          | Quarterly                                            |
| Valuation committee meets at every NAV calculation date | No                                                   |
| Valuation committee meetings formally minuted           | No                                                   |

### Assets (as at December 31, 2022, USD)

| Level                | Category          | Amount             |
|----------------------|-------------------|--------------------|
| Level 1              | Derivatives       | 4,000              |
| <b>Level 1 Total</b> |                   | <b>4,000</b>       |
| Level 2              | Bonds             | 71,003,000         |
| Level 2              | Debt              | 28,528,000         |
| Level 2              | Derivatives       | 17,000             |
| Level 2              | Structured Credit | 59,807,000         |
| <b>Level 2 Total</b> |                   | <b>159,355,000</b> |
| Level 3              | Bonds             | 11,196,000         |
| Level 3              | Debt              | 51,242,000         |
| Level 3              | Equity            | 1,977,000          |
| Level 3              | Structured Credit | 2,349,000          |
| <b>Level 3 Total</b> |                   | <b>66,764,000</b>  |

### Liabilities (as at December 31, 2022, USD)

| Level                    | Category    | Amount         |
|--------------------------|-------------|----------------|
| Level 2                  | Derivatives | 617,000        |
| <b>Total Liabilities</b> |             | <b>617,000</b> |

### Net Asset Value Controls

| Field                 | Value            |
|-----------------------|------------------|
| NAV issuance timeline | 10 Business Days |
| History of NAV errors | None             |

### Financial Reporting Controls

| Field                   | Value                  |
|-------------------------|------------------------|
| Year                    | 31 December 2022 (USD) |
| Auditor                 | Whitfield Young LLP    |
| Accounting framework    | US GAAP                |
| Audit opinion addressee | General Partner        |
| Audit report date       | 16 March 2023          |
| Audit location          | Grand Cayman           |
| Qualified opinion       | No                     |
| Emphasis of matter      | No                     |

### Balance Sheet (as at December 31, 2022, USD)

| Field                  | Value       |
|------------------------|-------------|
| Total assets           | 238,764,000 |
| Total liabilities      | (6,242,000) |
| Total equity           | 232,522,000 |
| Balance sheet leverage | 1.03        |
| Portfolio turnover     | 0.12        |

**Income Statement (for period ended December 31, 2022, USD)**

| Field                                | Value        |
|--------------------------------------|--------------|
| Realized / Unrealized Gains & Losses | (14,521,000) |
| Interest Income                      | 13,790,000   |
| Management & Incentive Fees          | (195,000)    |
| Operating Expenses                   | (231,000)    |
| Other Income and Expenses            | 54,000       |
| Net Profit (Loss) From Operations    | (1,103,000)  |

**Track Record (Fund-Level, Net Monthly Returns)**

| Year | Jan   | Feb   | Mar   | Apr   | May   | Jun   | Jul  | Aug  | Sep   | Oct   | Nov   | Dec  | YTD          |
|------|-------|-------|-------|-------|-------|-------|------|------|-------|-------|-------|------|--------------|
| 2023 | 2.24  | -0.03 | -0.40 | 0.86  | 0.07  | 1.21  | 1.48 | 0.66 | 0.25  | -0.11 | 2.31  | 1.88 | <b>10.88</b> |
| 2022 | -0.08 | -0.68 | 0.30  | -0.50 | -1.52 | -2.53 | 1.07 | 0.98 | -2.03 | 0.40  | 2.01  | 0.59 | <b>-2.07</b> |
| 2021 | —     | —     | —     | —     | —     | —     | 0.36 | 0.57 | 0.38  | 0.17  | -0.15 | 1.04 | <b>2.39</b>  |

## 9. Manager Transparency & LP Communications

| Document                                             | Status                               |
|------------------------------------------------------|--------------------------------------|
| Business Continuity Plan                             | Not provided (summary only)          |
| DFSA / SFC / MAS exit letters                        | Not provided (confidentiality cited) |
| Banking documentation (signatories, asset transfers) | Not provided                         |
| Valuation policy                                     | Received (undated)                   |
| Compliance manual (January 2023)                     | Reviewed via screenshare             |
| LPA                                                  | Provided (not execution version)     |
| Audited financial statements (Dec 31, 2022)          | Provided                             |
| Form ADV Part 1A (Feb 14, 2024)                      | Provided                             |

# Confidentiality

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